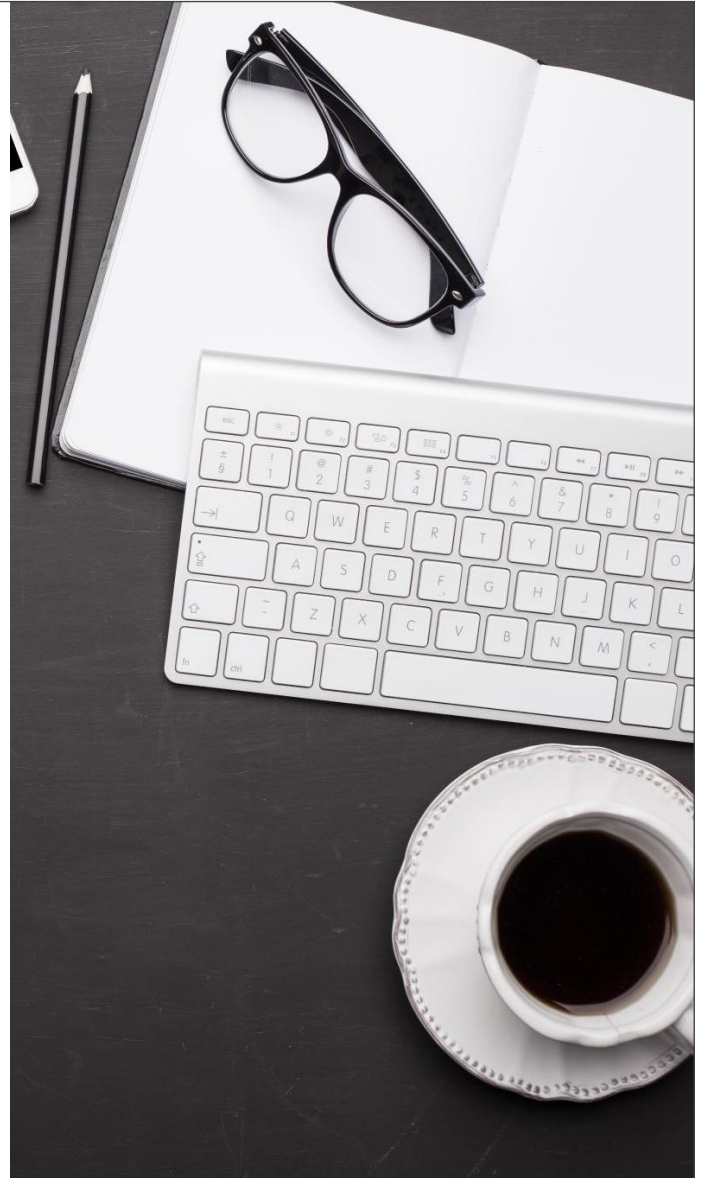


PEOPLE AT WORK

Unit 1



The background of the slide features several thick, colorful ribbons in shades of yellow, purple, blue, green, red, and black. These ribbons are intertwined and braided together, creating a complex, textured pattern that suggests unity and teamwork. The entire scene is set against a solid grey background.

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GROUPS & TEAMS

BWPM-SemV-2026-27

2

“Any number of people who interact with each other and perceive themselves to be a group”
(Schein, 1980)

GROUPS (Gordon, 2001)

- Members see themselves as a UNIT
- Group provides REWARDS for all
- CORRESPONDING effects
- Common GOALS

Why Join Groups

- Assignments (common)
- Physical proximity (colleagues living nearby)
- Affiliation (need)
- Identification (with some cause)
- Emotional Support
- Assistance or Help
- Common Interests
- Common Goals

Groups & Teams

- Groups are more generic in nature
- Teams are made mostly in organizational set up
- Group members work together or may share resources
- Team members work on tasks that are interdependent
- Both terms are largely used interchangeably

“A team is an interdependent collection of individuals who work together toward a common goal and who share responsibility for specific outcomes for their organizations.”

(Sundstorm, DeMuse & Futrell, 1990)

FACTORS AFFECTING GROUP PERFORMANCE

1. Group Cohesiveness

About liking and trusting

- Productivity and efficiency
- Decision quality
- Member satisfaction
- Member interaction
- Employee courtesy

Group Status

Group Size

Outside Pressure

Isolation

**Stability of
membership**

Homogeneity

2. Group Ability & Confidence

3. Personality of Members

4. Communication Structure

Three Common Formal Small-Group Networks

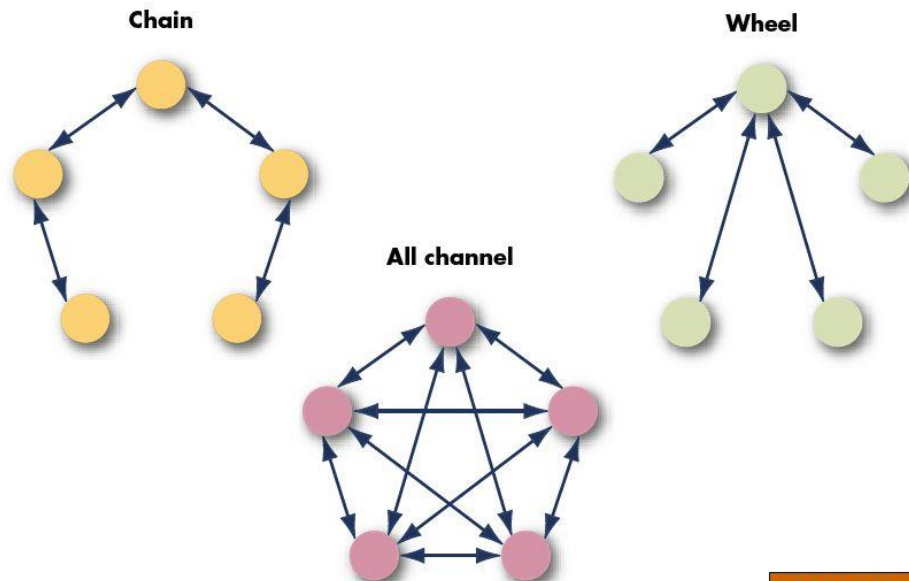


EXHIBIT 11-3

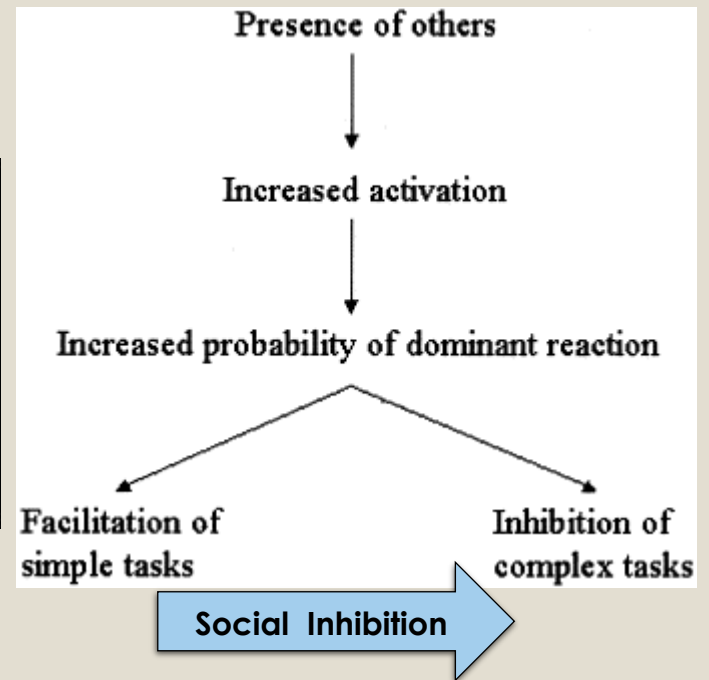
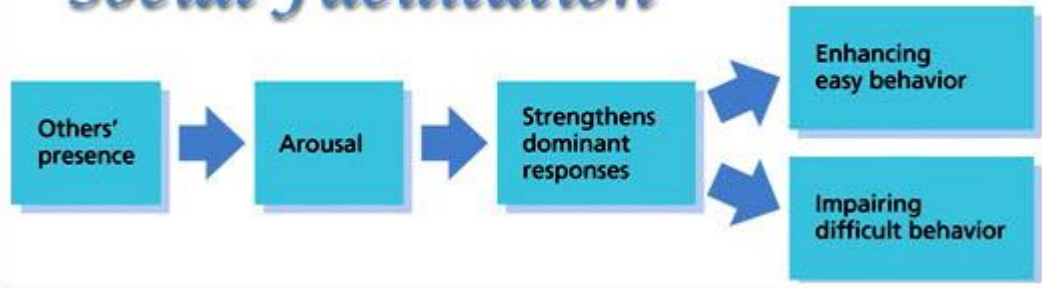
5. Group Roles

Task oriented

Social oriented

6. Presence of Others

Social Facilitation



Audience Effect

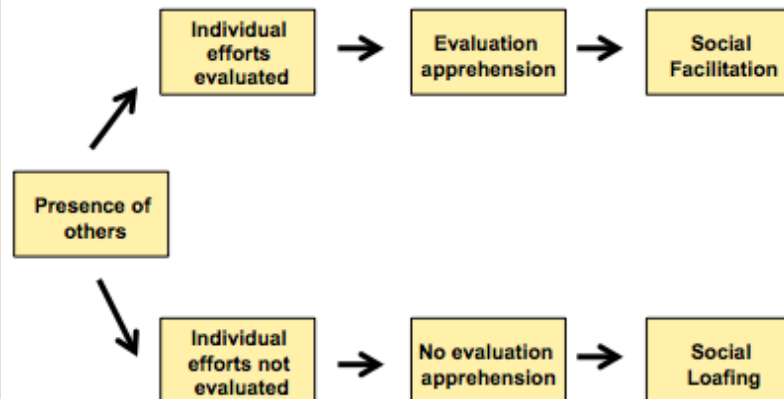
Coaction

Social Loafing

Free Rider

Sucker Effect

Facilitation vs. Loafing



7. Individual Dominance

8. Groupthink



Occurs when the group

- Is cohesive
- Is insulated from qualified outsiders
- Has an illusion of invulnerability and/or infallibility
- Believes that it is morally superior to its adversaries
- Is under great pressure to conform
- Has a leader who promotes a favourite solution
- Has gatekeepers who keep information from other group members

Can be reduced when the leader

- States his position strongly
- Promotes open discussion
- Creates subgroups to invite disagreements

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TEAMS

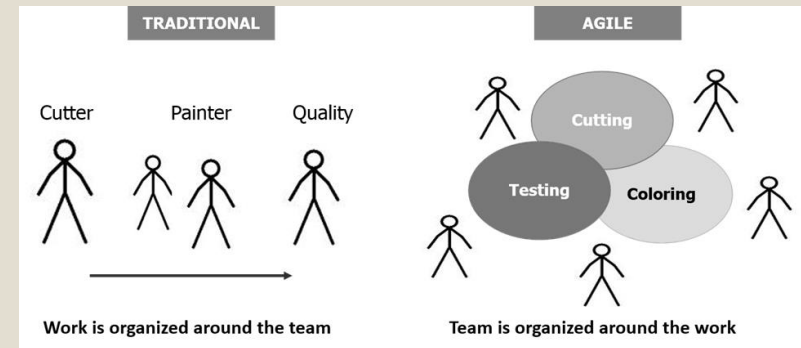
What is a Work Team?

“A collection of 3 or more individuals who interact intensively to provide an organizational product, plan, decision or service” (Devine, et al. 1999)

- Identification: with the team rather than the group
- Interdependence: depending on others' assistance, expertise, opinions
- Power differentiation: ensuring equality; apologize if overstepped a role, avoid challenging by asking indirect questions, be polite
- Social distance: reduced by being casual, using nicknames and expressing liking, empathy and common views
- Conflict management tactics: collaboration, understanding others' views, compromising, using nonthreatening tone
- Negotiation process: win-win style

Types

- Work teams
 - Members manage themselves, assign jobs, plan and schedule work, make work-related decisions, solve work-related problems
 - Employees cross trained
 - Responsible for their own productivity
- Parallel teams
 - Cross functional teams that have representatives from various departments
 - Essential to identify clear purpose, receive support and establish trust
- Project teams
 - Created to produce onetime outputs
 - Dismantled once the goal is accomplished
- Management teams
 - Coordinate, manage, advise and direct teams and employees
 - Responsible for providing general direction and assistance



Team/Group Formation

Tuckman & Jensen, 1977

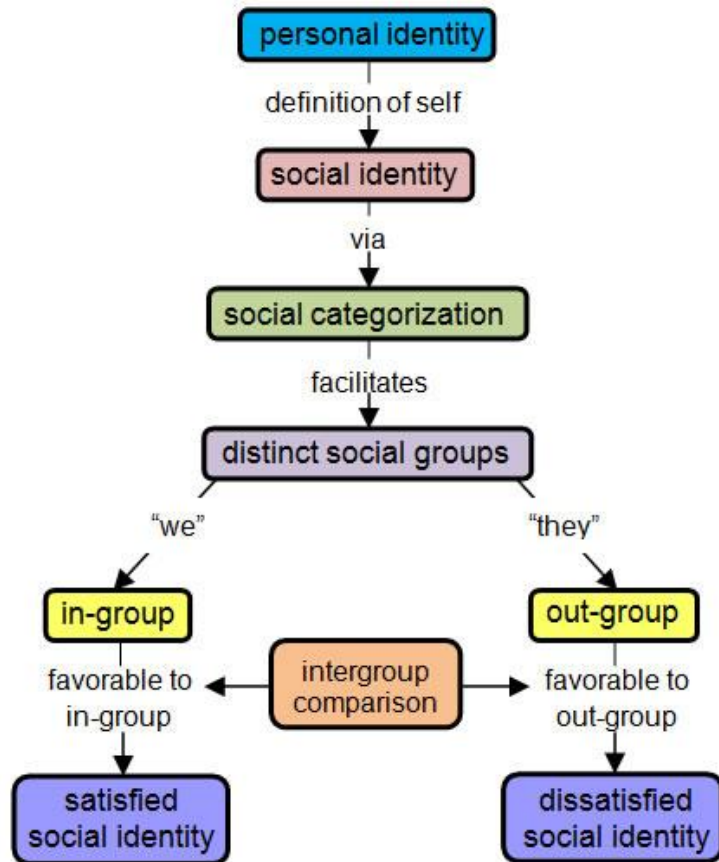


Why teams don't always work?

- Excessive meeting requirements
 - Frequent meets- Time waste
 - Topics- diversions, stretching the meeting
- Lack of empowerment
 - Lack of authority
 - Managers worry of quality of work, and overstepping boundaries
 - Team members reject empowerment
- Lack of skill
 - Lack skill and/or expertise in problem solving
 - Team members who are bright, conscientious, extraverted and emotionally stable perform better
- Distrust of the team process
 - Managers unwilling to give authority (must be trained)
 - Lack of receptivity among team members- low job satisfaction and organizational commitment
 - Nature of work- should be suitable/appropriate for the team
- Unclear objectives
 - Why teams are formed
 - What is expected
 - When are they supposed to finish/dismantle

GROUP MEMBERSHIP/BEHAVIOUR

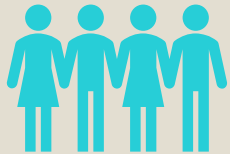
Social Identity Theory- Tajfel & Turner, 1979



Social Exchange Theory- Homans, 1961

		Benefit of helping / Cost of NOT helping	
		High	Low
Benefits of NOT helping / Cost of helping	High	Indirect intervention or reappraise the situation	Not help
	Low	Directly help	Depends on norms

Consequences of Groups



Functional Behaviour

Information Exchange
Diversity in Workforce
Composition of Groups



Dysfunctional Behaviour

Group Polarization
Groupthink

Group Conflict

Conflict- a psychological and behavioural reaction to a perception that another person is

- Keeping you from reaching a goal
- Taking away your right to behave in a particular way
- Violating the expectancies of relationship
- Types:
 - Individual vs. Individual
 - Individual vs. Team
 - Team vs. Team

Causes

- Competition of resources- more demand less supply
- Task Interdependence
- Jurisdictional Ambiguity
- Communication Barriers
 - Physical
 - Cultural
 - Psychological
- Beliefs
 - Superior to others
 - Mistreated by others
 - Vulnerable to others
 - Cannot trust others
 - Helpless and powerless
- Personality

Types

Brinkman & Kirschner
(2006)

High need
for Control

High need
for Attention

High need
for Approval

High need
for
Perfection

Difficult Types	Behavior Description	Strategy
Tanks	- Confrontational - Pointed and angry - Aggressive	- Hold your ground - Pattern interrupt - Aim for the bottom line
Snipers	- Biting sarcasm - Rude comments - Eye rolls	- Use questions: - Intent - Relevancy - Hold your ground - Clarify your expectations
Know-It-Alls	- Not like contradiction - Quick to blame others - Closed minded	- Know your facts - Short bursts of facts - Indirect presentation - Align expertise to solution
Think-They-Know-It-All	- Seen as an expert - Exaggerates - Over states	- Acknowledge positive intent - Clarify for specifics - Link to reality - Have compassion
Grenade Person	- Explodes with anger - Rants and raves	- Lower and slower – voice - Use hand gestures - Find root cause - Stay objective
Yes Person	- Forget commitments - Over commit	- Help with planning - Encourage realistic discussions - Remember the helpful intent
Maybe Person	- Decision procrastination - Wants more facts	- Reduce risk concerns - Develop a decision strategy - Better the enemy of good
Nothing Person	- Minimal engagement - Slow pace - May seem aloof	- Be patient... slow your pace - Use humor – keep it light - Ask about future challenges
No Person	- Fault finder - Problem finder - Sees what is missing	- Go with the flow... yes – and... - Early warning system - Make a polarity statement - Remember the helpful intent
Whiners	- Sees what is missing - Never good enough - Perfectionist	- Shift “not wants” to “wants” - Get a solution focus

Styles

Conflict Styles

HIGH

CONCERN FOR SELF

Competing or **Forcing**
(Win/Lose)
“My Way”

Collaborating
(Win/Win)
“Our Way”

Compromising
(Partial Lose/Lose)
“Half Way”

Negotiating/Bargaining

Withdrawal

Avoiding
(Lose/Lose)
“No Way”

Triangling

Accommodating
(Lose/Win)
“Your Way”

LOW

CONCERN FOR OTHERS

HIGH

Adapted from W. W. Wilmot & J. L. Hocker (2010). *Interpersonal Conflict*, 8th ed.
New York: McGraw-Hill.

Resolving Conflict

- Formal Policy at Organizations
- Conflict resolution skills
 - Conflict resolution skills (cooperation, compliments, no negative interaction, mutual similarities, common goals)
 - Reduce tension- Increase trust
 - Planned meeting-
 - Dispute
 - Cooperative Problem Solving
- Third-Party Intervention
 - Mediation- reach a mutual agreement
 - Arbitration- choose the correct side



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LEADERSHIP

“A process of creating vision for others and having the power to translate this vision into a reality and then to sustain it”

Kotter, 1988

Leader Characteristics & Performance

- Traits
 - Extraversion, openness, agreeableness and conscientiousness (Judge, et al., 2002)
 - Management, decision making, and oral communication (Youngjohn & Woehr, 2001)
 - Self Monitoring
- Cognitive ability
 - Useful when leader isn't distracted by stress
 - When leader has a directive style
 - Synthesis of wisdom, intelligence (academic & practical) and creativity (Sternberg 2007)

- Needs

- nAch, nPow & nAff

- Leadership motive pattern: nPow ↑ nAff ↓

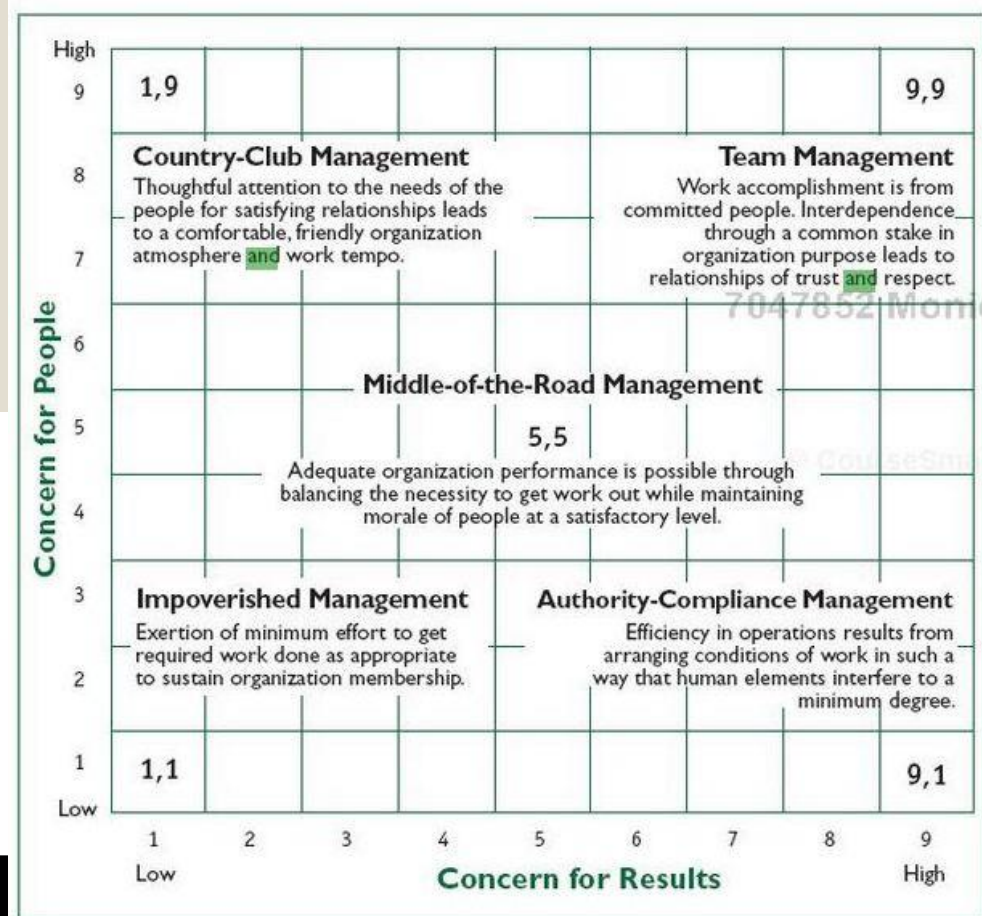
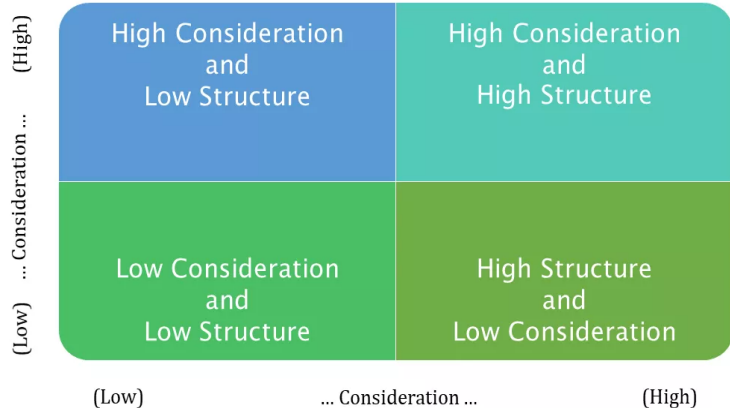
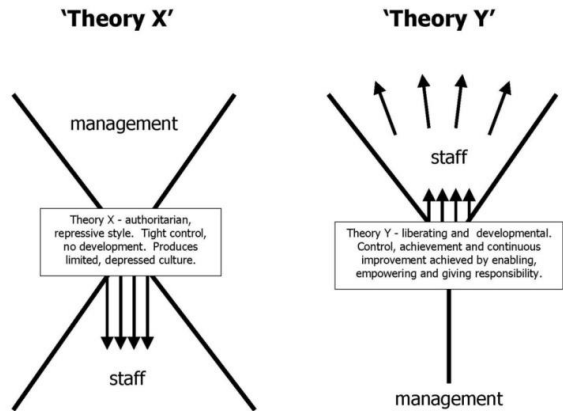
- Gender

- Men effective in traditionally masculine situations-
subordinates are men and vice versa

- Women more likely to engage in high quality leadership
behaviour (Eagly, Johannesen-Schmidt & van Engen, 2003)

Task Vs. Person Oriented

- Ohio Studies (1950s): behaviours indicating high or low
 - Consideration – mutual trust, respect and certain warmth & rapport
 - Initiating Structure- leader organizes and defines group activities and his relations with the group
- Theory X & Y (McGregor, 1960s): leaders are
 - X- authoritarian
 - Y- liberating
- Managerial Grid (Blake & Mouton, 1984): high or low concern for
 - people
 - results



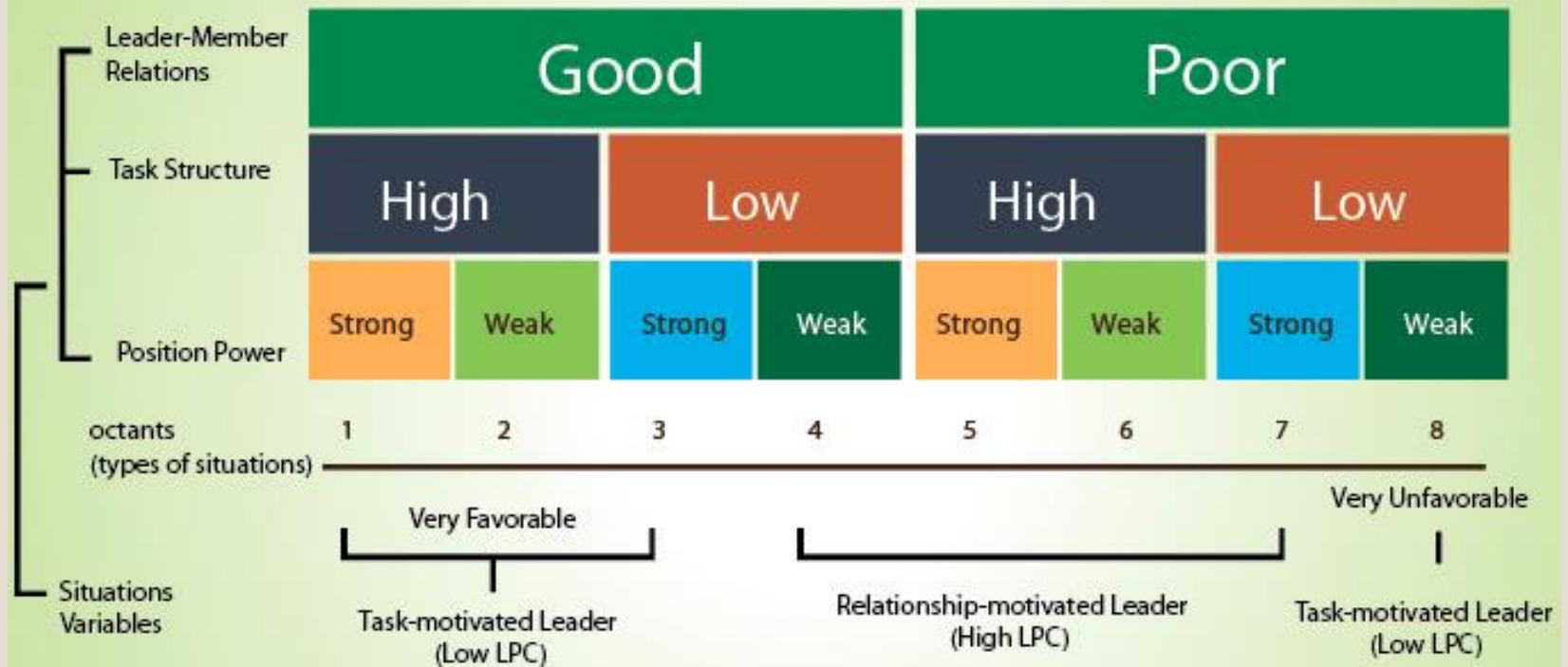
Ohio State Leadership Studies

Dimensions of Leader Behavior

Leader and the Situation

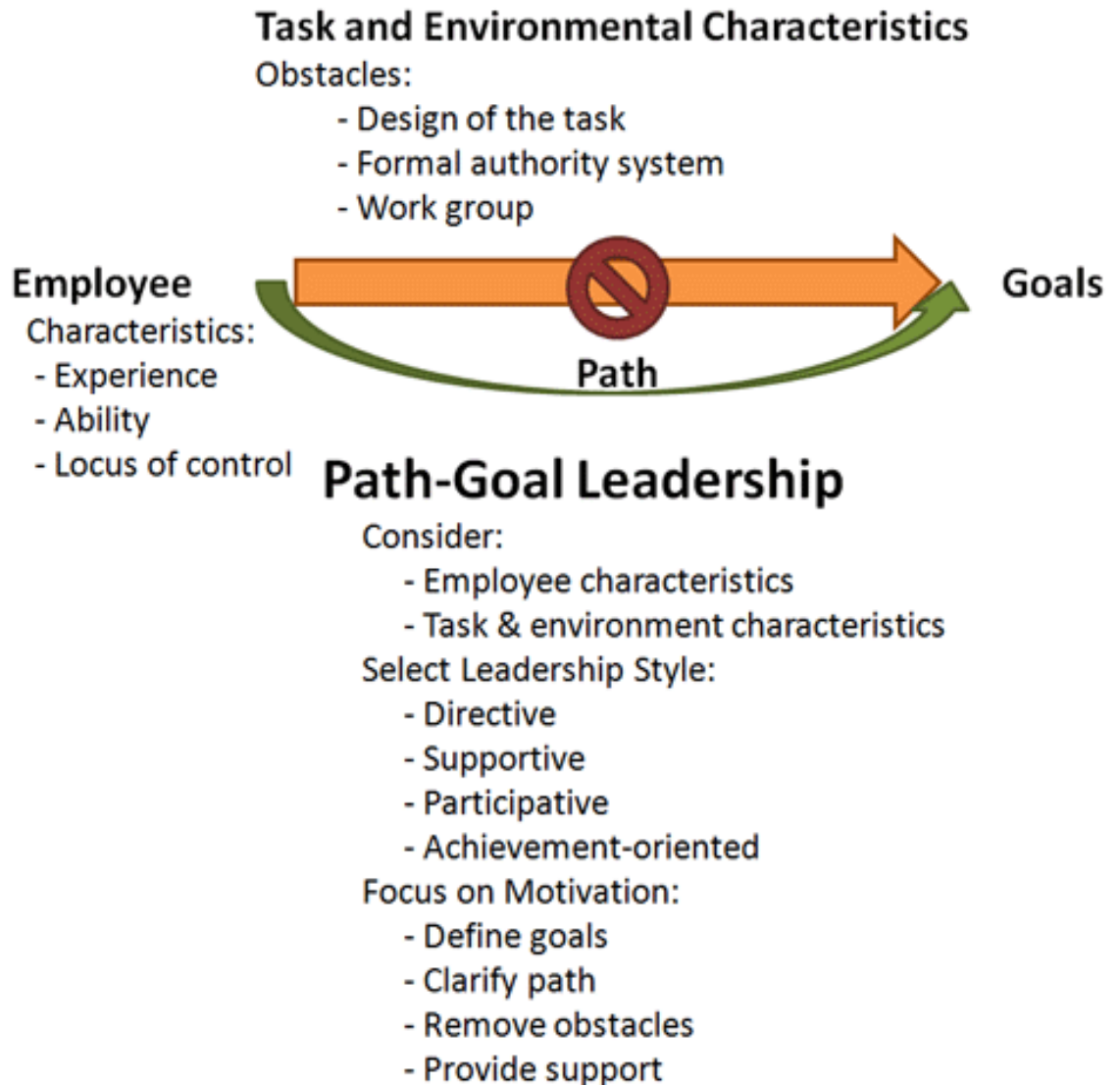
- Fieldler's Contingency Model (1960s)
 - Leadership effectiveness depends on interaction between leader and situation
 - No one particular leadership style
 - Least Preferred Coworker & LPC Scale
 - Situation Favourability depends on
 - Task structuredness
 - Leader position power
 - Leader member relation
 - Not much research evidence

Fiedler's Contingency Theory



Leader & Subordinate Ability

Path-Goal Theory by House



Subordinate Ability

Hersey & Blanchard's Situational Theory

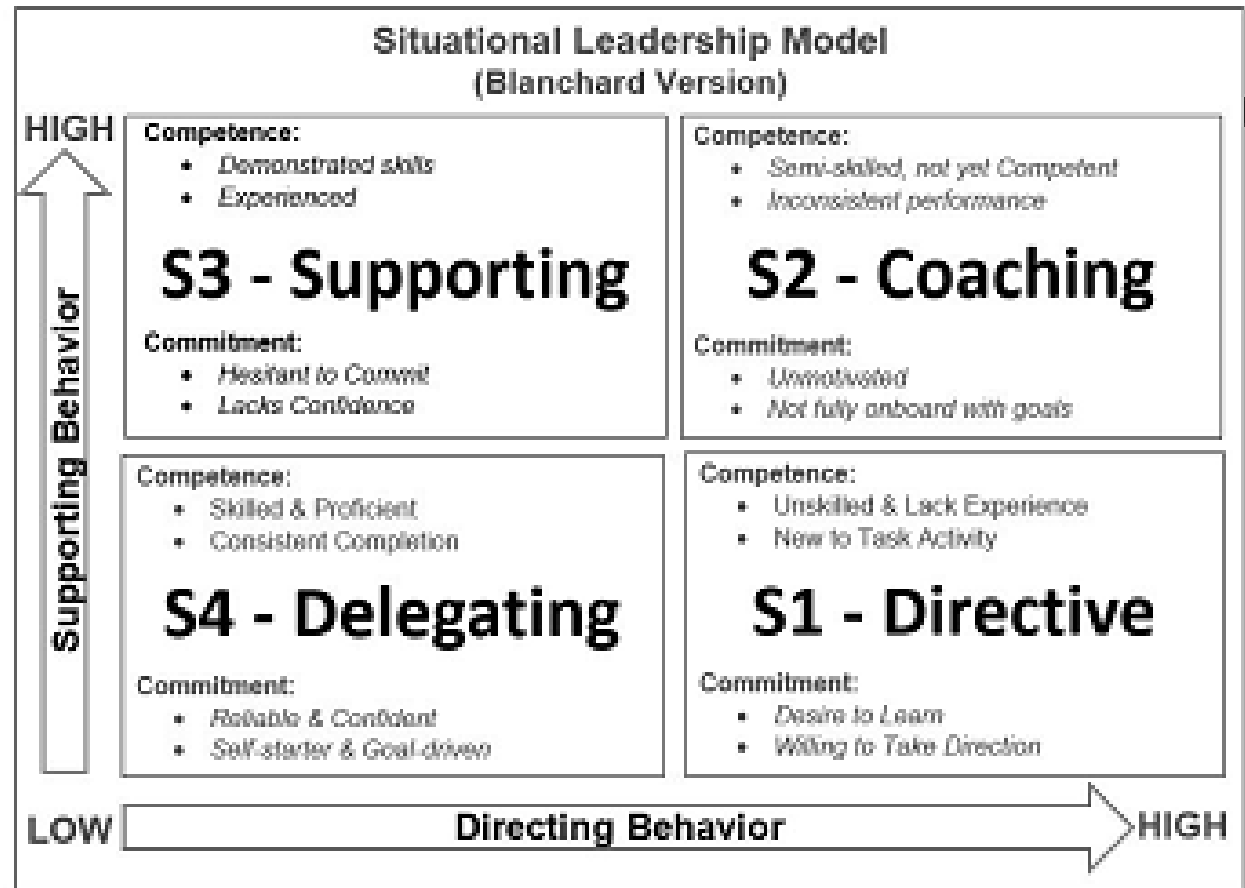
Suitable styles for types of Subordinates:

S1: Unable and unwilling or insecure

S2: Unable but willing or confident

S3: Able but unwilling or insecure

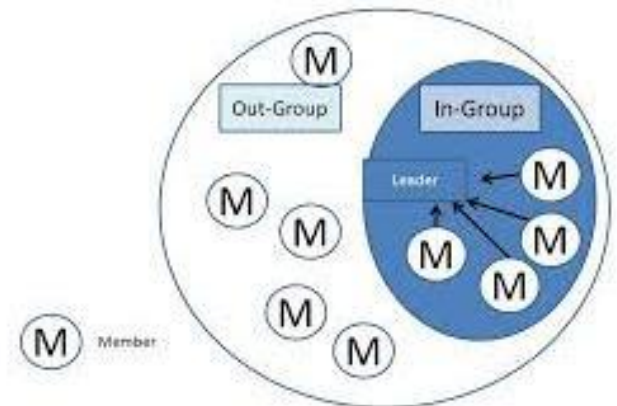
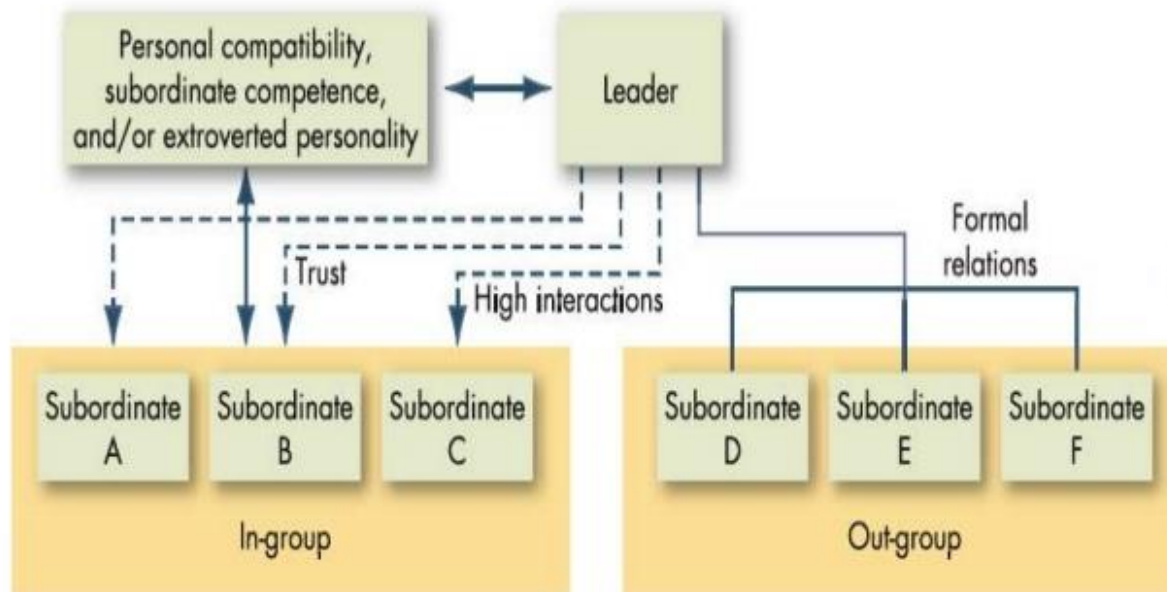
S4: Able but willing or confident



Relationship with Subordinate

Leader-Member Exchange (LMX)- Dansereau, Graen, & Haga (1975)

Leader-Member Exchange Theory



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SPECIFIC LEADERSHIP SKILLS

A red pawn stands on the left, and a group of yellow pawns stands on the right, all on a wooden surface. The pawns are in the foreground, and the background is a dark, blurred gradient.

Leadership through Decision Making

- Vroom & Yetton (1973)
- Decisions by leaders are best only in specific situation; mostly decisions are good when made by participation by others- subordinates, colleagues, or both
- Leadership performance can be improved by training leaders in decision making
- Decision tree- helps decide whether decisions should be made alone or with others
- Decision Styles
 - Autocratic
 - Consultative
 - Group

Normative Decision Model

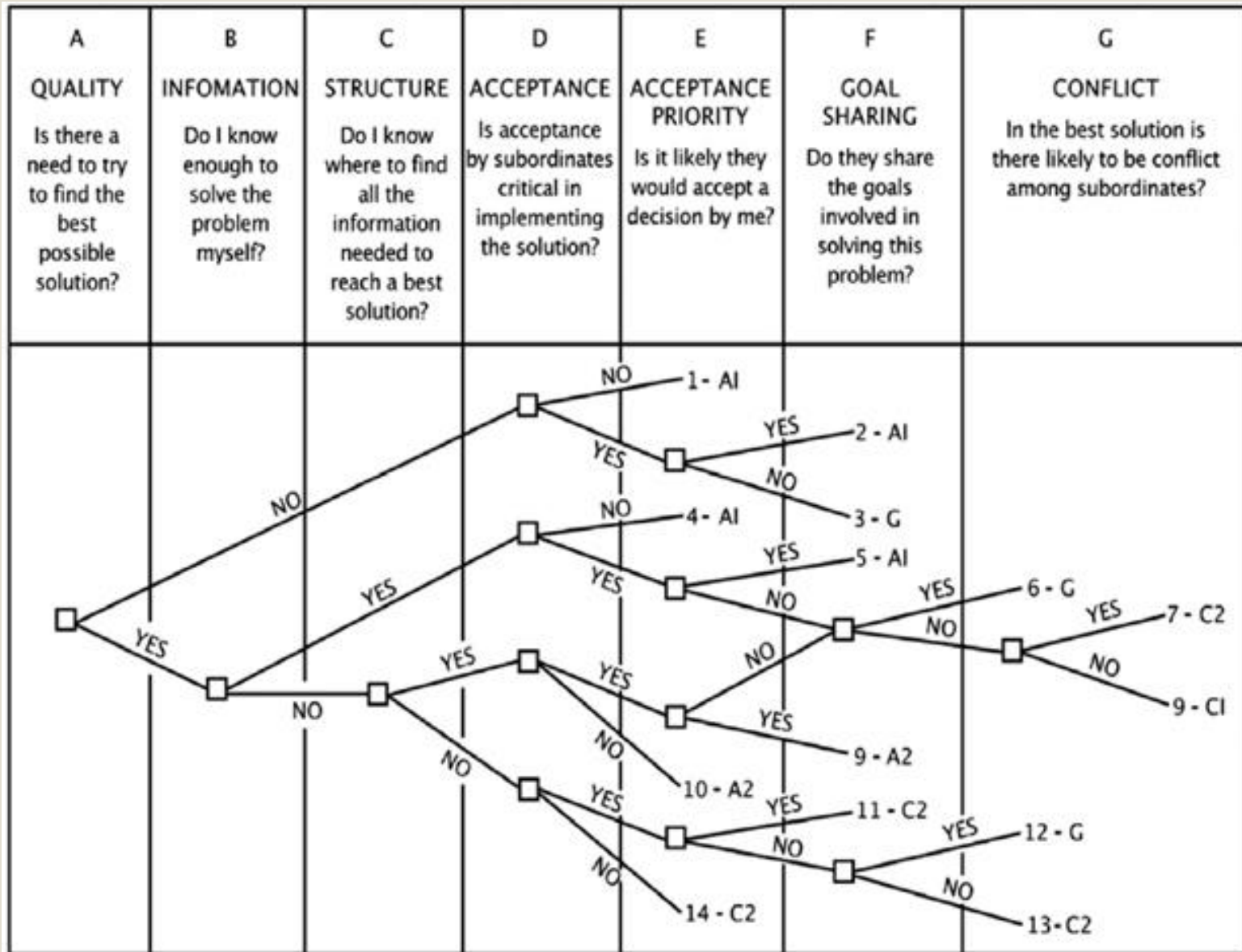
Decision Style ^a	Definition
AI	Leader makes the decision alone
AII	Leader asks for information from team members but makes the decision alone. Team members may or may not be informed what the situation is.
CI	Leader shares situation with each team member and asks for information and evaluation. Team members do not meet as a team, and the leader alone makes the decision.
CII	Leader and team members meet as a team to discuss the situation, but the leader makes the decision.
G	Leader and team members meet as a team to discuss the situation, and the team makes the decision.

^aA = autocratic C = consultative G = group

Sources: V. H. Vroom and P. W. Yetton, *Leadership and Decision-Making* (Pittsburgh, PA: University of Pittsburgh Press, 1973); V. H. Vroom and A. G. Jago, *The New Leadership: Managing Participation in Organizations* (Englewood Cliffs, NJ: Prentice Hall, 1988).

Adapted from Exhibit 11.6: Normative Decision-Making Model: Decision-Making Styles

Leadership through Decision Making





Leadership through Power

Sources of Power Used by Leaders

Power of the POSITION:

Based on things managers can offer to others.

Rewards

- “If you do what I ask, I’ll give you a reward.”

Coercion

- “If you don’t do what I ask, I’ll punish you.”

Legitimacy

- “Because I am the boss, you must do as I ask.”

Power of the PERSON:

Based on how managers are viewed by others.

Expertise

- As a source of special knowledge and information.

Reference

- As a person with whom others like to identify.

Leadership through Vision

Transactional Leadership Burns (1978)

- Leader focus on task-oriented behaviours
- Setting goals, monitoring performance, providing a consequence to success or failure
- 3 dimensions
 - **Contingent reward** (reward for doing desired activity)
 - **Management by exception-active** (actively monitor performance and take corrective actions)
 - **Management by exception-passive** (do not monitor actively and take corrective action only when problems are serious)

Transformational Leadership Burns (1978)

- Visionary leadership where leader changes the nature and goals of organization
- Visionary, charismatic, inspirational
- Confident, need to influence others, strong belief about correctness of their beliefs and ideas
- 3 Dimensions
 - Charisma
 - Intellectual stimulation
 - Individual consideration

TRANSFORMATIONAL LEADERSHIP

Idealized Influence + Inspirational Motivation + Intellectual Stimulation + Individualized Consideration

TRANSACTIONAL LEADERSHIP

Contingent
Reward
+
Management-
by-Exception

Expected
Outcomes

**Performance
Beyond
Expectations**

Charismatic Leadership

- Strong need for power
- Supremely confident
- Engage in behaviours designed to impress (self-praise)
- Articulate appealing vision
- Set an example through own behaviour
- Set high goals and express confidence in followers to achieve those goals
- Attempt to appeal fundamental motives (power, affiliation, achievement)
- Speak and write inspiringly



Sem. V Unit 2

Decision Making & Problem Solving



Dr. Deepak Gupte

Sem V Unit 2 Decision Making & problem Solving

- 1. Cognitive bias- types, identifying bias, case studies; Techniques to reduce cognitive bias & case studies**
2. Decision-making models- types; decision-making in teams- tools & matrices (SWOT, decision-making tree)
3. Organisational Climate & Culture
4. Understanding change management
5. Resistance to change, empowerment & management strategies



HOW TO APPROACH THIS COURSE



- All **content slides** will be shared.



- Make your **own notes** in class.



- **Conceptual understanding** and **appropriate reasoning** are important from an examination point of view.



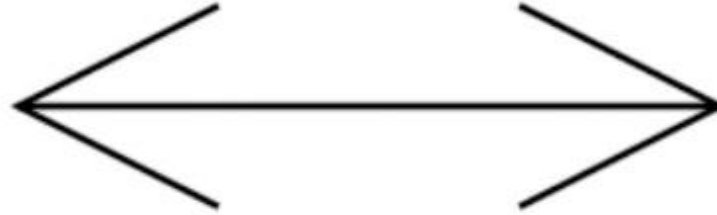
- But **DO NOT STUDY ONLY FOR MARKS.**



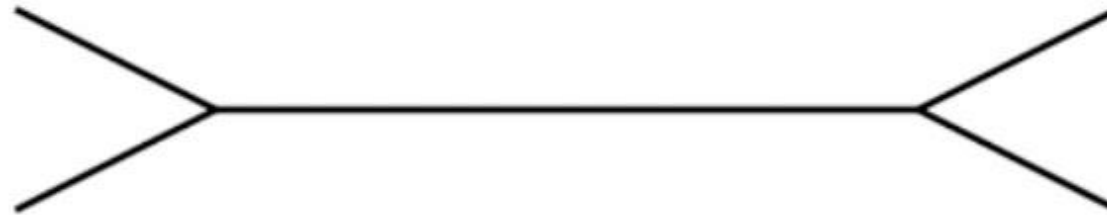
**THIS COURSE IS VERY IMPORTANT AND
USEFUL FOR YOUR FUTURE PROFESSIONAL LIFE.**







Optical Illusion







Cognitive Illusion

Bat and ball together cost Rs 110

Bat costs Rs 100 more than the ball

What are their individual costs?





One Sunday there were 20 lotuses in a pond.
The next day the lotuses were doubled to 40.
On the third day, it became 80 lotuses.

The pond was full of lotus by **20** days.

On which day had $\frac{1}{2}$ th of the entire pond been filled with lotus?



HOW MANY HOLES DOES THIS T-SHIRT HAVE?



Marc looks at Anne, and Anne looks at Simon.

Marc is married, and Simon is single.

Does a married person look at an unmarried person?



KBC



Catch the ball

$$2 + 2 =$$

$$24 \times 17 = ?$$



THE NEW YORK TIMES BESTSELLER

THINKING, FAST AND SLOW



DANIEL
KAHNEMAN

WINNER OF THE NOBEL PRIZE IN ECONOMICS

"[A] masterpiece . . . This is one of the greatest and most engaging collections of insights into the human mind I have read." —WILLIAM EASTERLY, *Financial Times*



Kahneman & Tversky

JPIP

JPIP



JPIIP

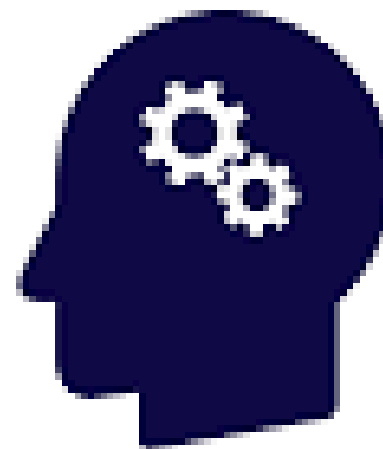
system 1



fast
unconscious
automatic
everyday decisions

JPIIP

system 2



slow
conscious
effortful
complex decisions

TWO SYSTEMS OF THINKING

Stanovich & Kahneman

SYSTEM 1

FAST, AUTOMATIC, UNCONSCIOUS



DANIEL KAHNEMAN

Nobel Laureate in
Economics

KEY FEATURES

- ⌚ Very fast
- 🧠 Automatic
- 👁️ Unconscious
- ⚡ Low effort
- 🧩 Heuristic-based
- 🎯 Prone to biases



AUTOMATIC AL

The Hare
"Jumping to conclusions"

WHAT IT DOES

- Recognizes patterns
- Fills in the gaps
- Makes quick judgments
- Works immediately

EXAMPLES

- ✓ Instincts
- ♥ Gut feelings
- 🔥 Habits
- 💡 First impressions

"System 1 is like the hare:
fast, intuitive, and always in a hurry."

SYSTEM 2

SLOW, EFFORTFUL, CONSCIOUS

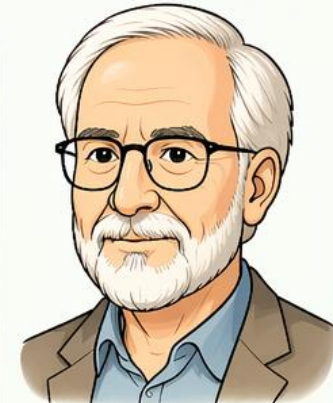


REFLECTIVE ROY

The Tortoise
"Thinking it through"

KEY FEATURES

- ⌚ Slower
- ⚙️ Effortful
- 🔍 Conscious
- 🔋 High effort
- 📋 Rule-based
- 🛡️ More reliable



KEITH STANOVICH

Cognitive Scientist
**SYSTEM 2 =
REFLECTIVE &
ALGORITHMIC**

WHAT IT DOES

- Plans ahead
- Solves complex problems
- Inhibits impulses
- Applies rules and logic

EXAMPLES

- 📊 Math problems
- 🧩 Logical reasoning
- 📅 Planning
- 🛡️ Self-control

"System 2 is like the tortoise:
slow, steady, and gets things right."

THE RELATIONSHIP

System 1 does the judging.



System 2 does the reasoning.



Together, they shape every decision.





Examples



Very Very Important

- The brain is not **literally** divided into two systems
- System 1 and 2 work in **tandem**, not as separate entities
- **Both** systems can be biased and can make mistakes - neither one is categorically “good” or “bad”



Intuitive guess at the exam?
The first answer that comes to mind?
Read the question carefully.

Mindful practice

Being in the flow



Practice properly to convert system 2 into Auto mode.

System 2: Interview

Take a few seconds' **pause** to recollect



Our brain is highly optimized for certain things
& **Not** optimized for other things

This is how it is!!!

Quiz

1 You ask an AI:

“Which of these two bridge designs is safer?”

AI gives a confident, technically impressive answer in 10 seconds.

Which response demonstrates System 2 thinking?

- A. “AI is probably correct—it sounds convincing.”
- B. “I'll use the answer because AI knows engineering.”
- C. “I'll identify the assumptions, check the calculations and compare the evidence.”
- D. “I'll ask AI the same question again.”



**2 An experienced mechanic hears a machine for 2 seconds and says:
“Misalignment.”**

What is most likely happening?

- A. Random guessing
- B. System 1 pattern recognition
- C. System 2 calculation
- D. Confirmation bias



3 AI tells an engineer:

“Based on the symptoms, the most likely cause is bearing failure.

Confidence: 94%.”

What should the engineer do next?

- A. Accept it because AI says 94%
- B. Ask AI to explain it again
- C. Check alternative causes and supporting evidence
- D. Reject AI automatically



Groups of 5

- Discuss and Present examples of each of systems 1 and 2
- Personal as well as professional (engineering) examples



System 1

- Picking up ph
- Biometric check

system 2

- Journal
- Cooking for novice
- planning for vacation
- Problem in presentation: check



Cognitive Bias

Heuristics



A rule, strategy or mental shortcut that one can use to derive a solution to a problem

Rule of thumb

Cognitive Bias



Bias: Inclination/tendency



Normal human brain function: bounded rationality



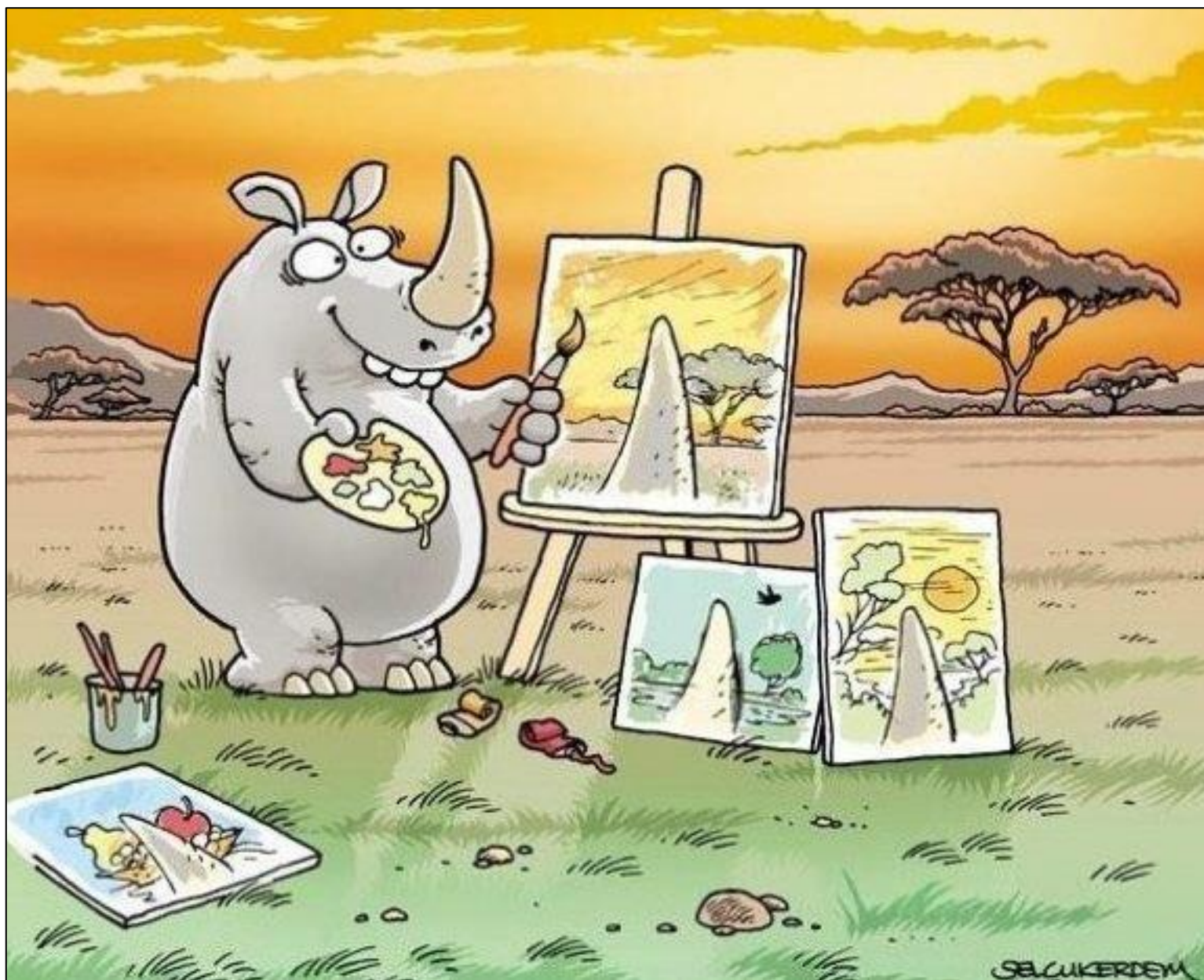
Gap between how we ought to reason ideally & how our brain actually reasons



We can not avoid biases, but we can manage them

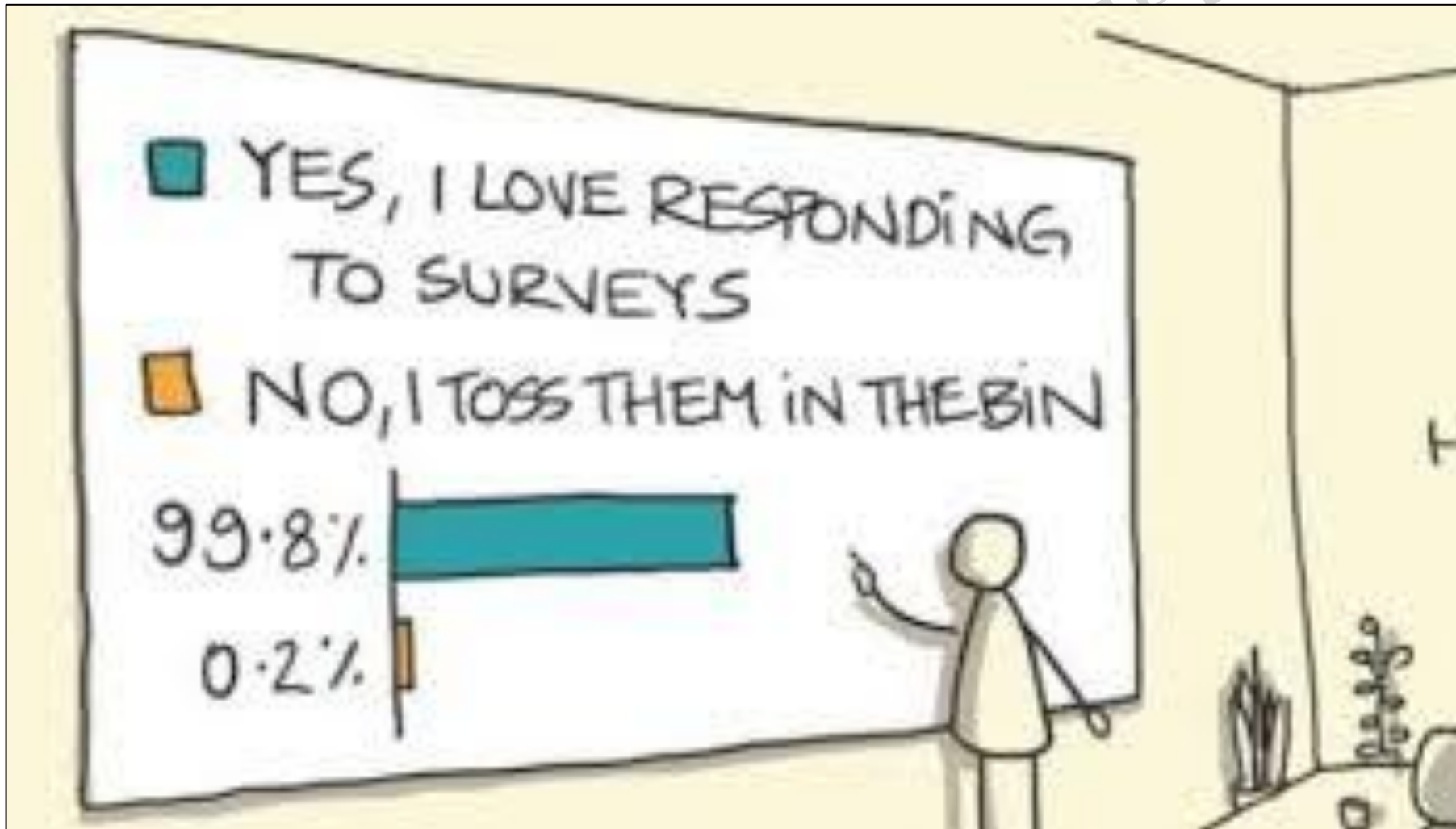


More than **100** documented biases



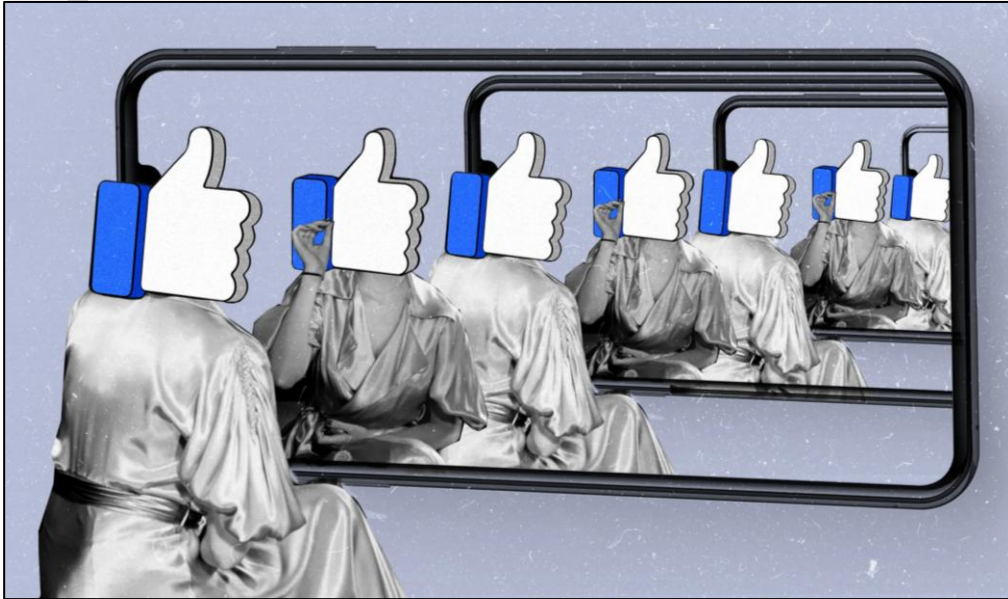
Scientists may selectively report results that support their hypothesis while **overlooking or downplaying** conflicting evidence.





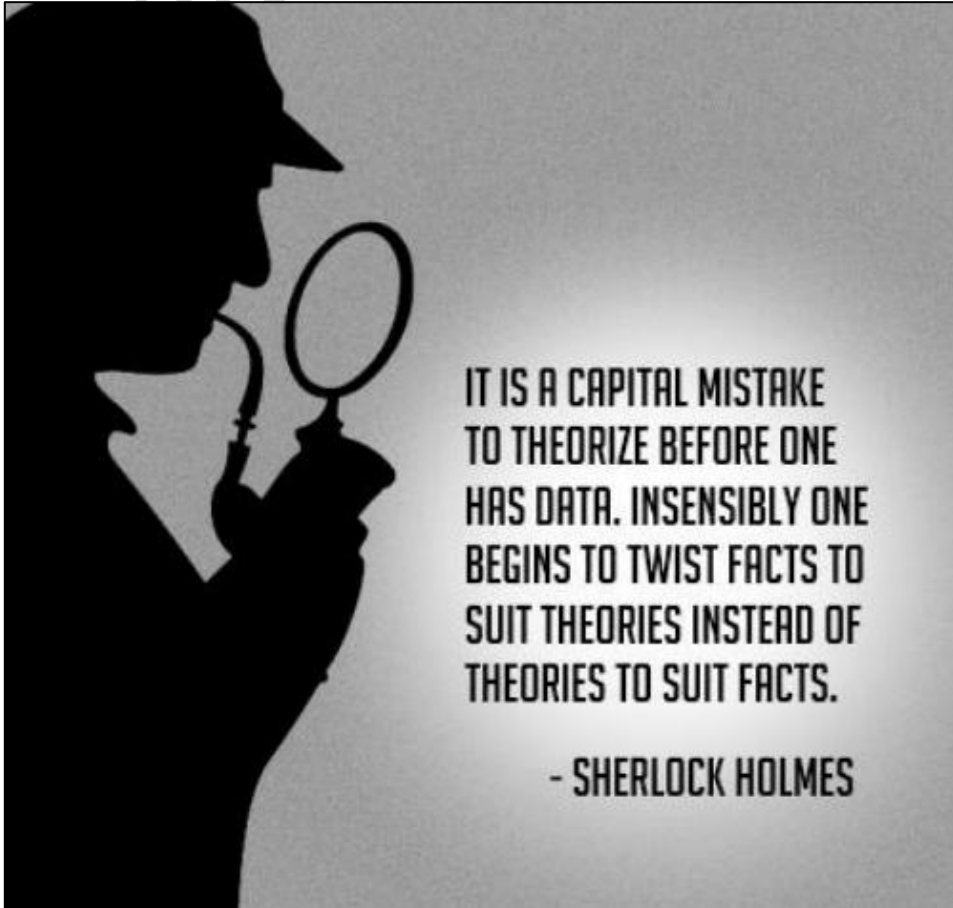


1 Confirmation Bias

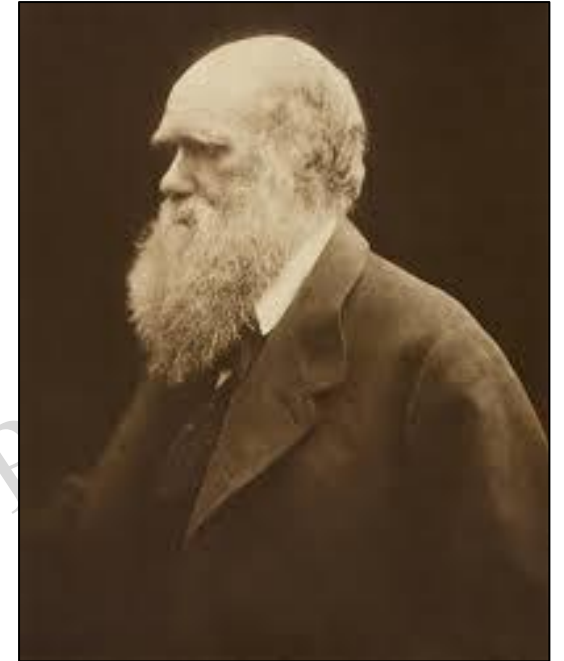


We love to interact with people who agree with us, which adds to confirmation bias.

Application: With whom I should discuss this?
Choose colleagues with different perspectives.



In writing answers
Thinking.....



Sir Charles Darwin



Confirmation Bias in Engineering — 3 Applications

- 1. Fault Diagnosis:** An engineer suspects a bearing failure and notices evidence supporting it while ignoring signs of electrical or alignment problems.
- 2. Design Decisions:** An engineer prefers their own design and selectively focuses on test results that support it while dismissing contradictory results.
- 3. Project Management:** A team believes a project will succeed and interprets delays or warning signs as “temporary,” rather than reconsidering the original plan.



What to do?

- Seek out **contradictory** information and constructive criticism.
- Ask **apt questions** while gathering information.
- **Decide accordingly**



5 PRACTICAL STEPS OF DEBIASING



Use these steps for *any* decision or problem.



Based on: 1) S. L. Rivers & D. L. Schuman (2006) – How to Think Straight About Psychology

2) Gerd Gigerenzer (2013) – “Why Heuristics Work” 3) Daniel Kahneman (2011) – Thinking, Fast and Slow

EXAMPLE: CONFIRMATION BIAS

(We look for evidence that supports what we already believe and ignore the rest.)

1



PAUSE & NOTICE

Pause before deciding. Notice your immediate thoughts, feelings and assumptions.

“What am I assuming right now?”

2



SEEK DISCONFIRMING EVIDENCE

Actively look for information that goes against your belief or hypothesis.

“What evidence would prove me wrong?”

3



CONSIDER ALTERNATIVES

List other possible explanations or options. Compare them fairly.

“What else could be causing this?”

4



EVALUATE OBJECTIVELY

Use data, facts, or experiments. Rate each option based on evidence, not intuition.

“What does the data actually show?”

5



DECIDE & REVIEW

Make the decision. Later, review the outcome and learn. Update your thinking.

“What did I learn? How will I improve next time?”



Situation: A motor in a production line is not working.

Engineer's first thought: “The bearing must be faulty.”



Engineer actively looks for evidence **against** his assumption: checks electrical supply, sensor readings, alignment, overload, etc.



Possible causes listed:

- | | |
|--------------------|---------------------|
| 1) Bearing failure | 2) Electrical issue |
| 3) Misalignment | 4) Overload |



Collects data/observations and compares:

- | | |
|----------------------|-----------------------------|
| • Vibration normal | • Power fluctuation present |
| • Temperature normal | • Recent overload alarm |

Electrical issue has stronger evidence.



Fixes the electrical issue → Motor works.

Reviews the process and updates checklist to avoid similar bias in future.



GOOD ENGINEERS USE SYSTEM 2 THINKING:

Slow down, question, test, and then decide.



KEY TAKEAWAY: Being right is less important than being accurately informed.



1



PAUSE & NOTICE

Pause before deciding. Notice your immediate thoughts, feelings and assumptions.

"What am I assuming right now?"

2



SEEK DISCONFIRMING EVIDENCE

Actively look for information that goes against your belief or hypothesis.

"What evidence would prove me wrong?"

3



CONSIDER ALTERNATIVES

List other possible explanations or options. Compare them fairly.

"What else could be causing this?"

4



EVALUATE OBJECTIVELY

Use data, facts, or experiments. Rate each option based on evidence, not intuition.

"What does the data actually show?"

5



DECIDE & REVIEW

Make the decision. Later, review the outcome and learn. Update your thinking.

"What did I learn? How will I improve next time?"

OPERATION SINDOOR



Laila Ki Ungliyan

Recipe by



Total Time:
15-30
minutes



Serves: 2

Nutrition facts:

240 calories, 9 grams fat



The Framing Effect

A



**Old
Furniture**

B



**Vintage/ Rustic
Furniture**



Smartiac.org



What is healthier?



What Does a
Fat-Free Label
Really Mean?

99% fat-free food

Or

food containing 1% fat



Video

- [Am I audible?](#)

A college placement cell gives students two descriptions of the **same company**:

Frame A — Negative “20% of employees leave this company within the first year.”	Frame B — Positive “80% of employees stay with this company for at least one year.”
---	---

Where is the framing bias?

The **information is the same**, but the **presentation changes the emotional response and judgment**.

Debiasing

1. **Recognize:** “Am I reacting to the wording rather than the actual information?”
2. **Reframe:** Convert negative → positive, or positive → negative.
20% leave = 80% stay
3. **Check:** Ask: “*What are the facts?*”
Also consider salary, growth, work culture, location, job security, etc.
4. **Decide:** Make the decision based on the **complete evidence**, not on which frame sounds better.

“Same facts + different presentation = different reality.”



Application: debiasing framing bias

- Understand the framing of information and its consequences for us
- Frame your answer in an interview, etc.

I failed this mock test. I discovered areas for improvement."

Anchoring



Limit: **12** per person

7 average purchase



No limit

3 average purchase

Anchoring bias binds you to your first impression



Various anchors



Here, the word anchor is used when we compare various scenarios.

- **Life anchors:** Friends, colleagues, initial/previous relation
- **Buying** something: initial price
- **Rating something:** Previous incidence, etc





Anchoring Bias – Debiating Example

Example:

A laptop is initially listed at ₹80,000 and then offered at **₹55,000**. You feel ₹55,000 is a great deal because ₹80,000 became your **anchor**.

Debias: Before judging the price, independently estimate the laptop's reasonable value and compare **multiple alternatives/prices**.

Application

- 1. Shopping & Negotiation:** The first price mentioned influences what seems “cheap” or “expensive.” → **Debias:** Determine your own reasonable price before seeing the offer.
- 2. Performance Evaluation:** An initial impression or rating influences later judgments.
→ **Debias:** Evaluate using objective criteria and fresh evidence.
- 3. Decision Making:** The first idea or suggestion becomes the reference point for subsequent choices. → **Debias:** Generate alternatives **before** evaluating the first suggestion.



You went for a movie
At interval you feel that it is boring

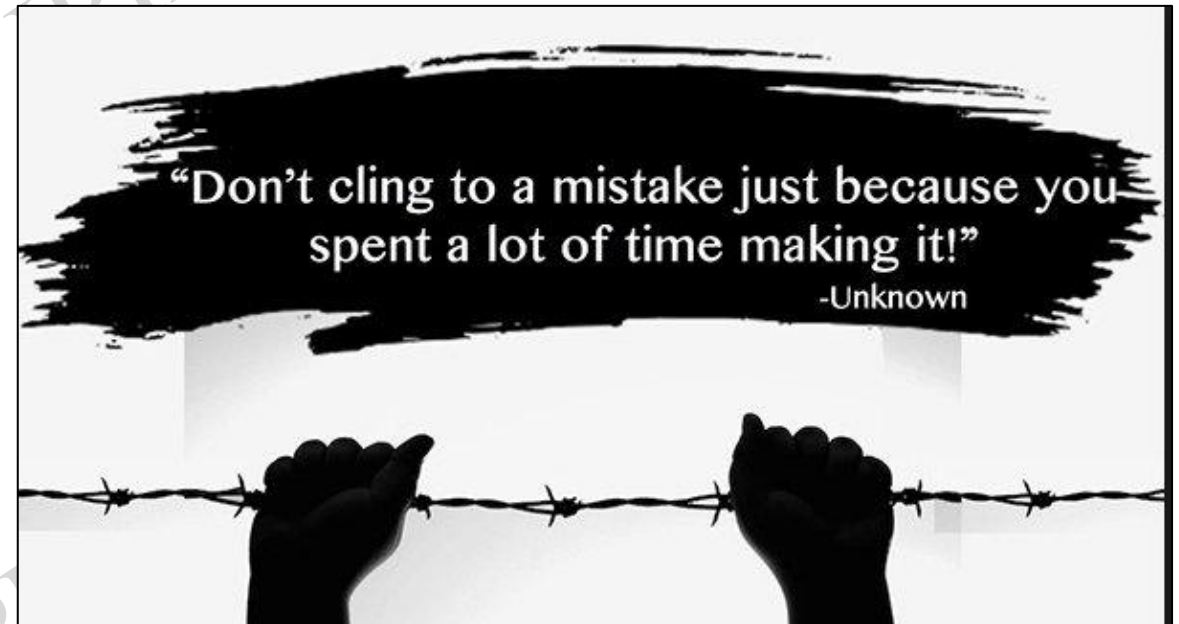
What will you do?



The Great Battle Maratha & Mughals 1680 To 1707

Sunk cost fallacy

Commitment bias: We continue to support our past decisions despite new evidence suggesting that it isn't the best course of action



Sunk cost fallacy



“I might as well keep going to a bad/useless class that I paid for.”

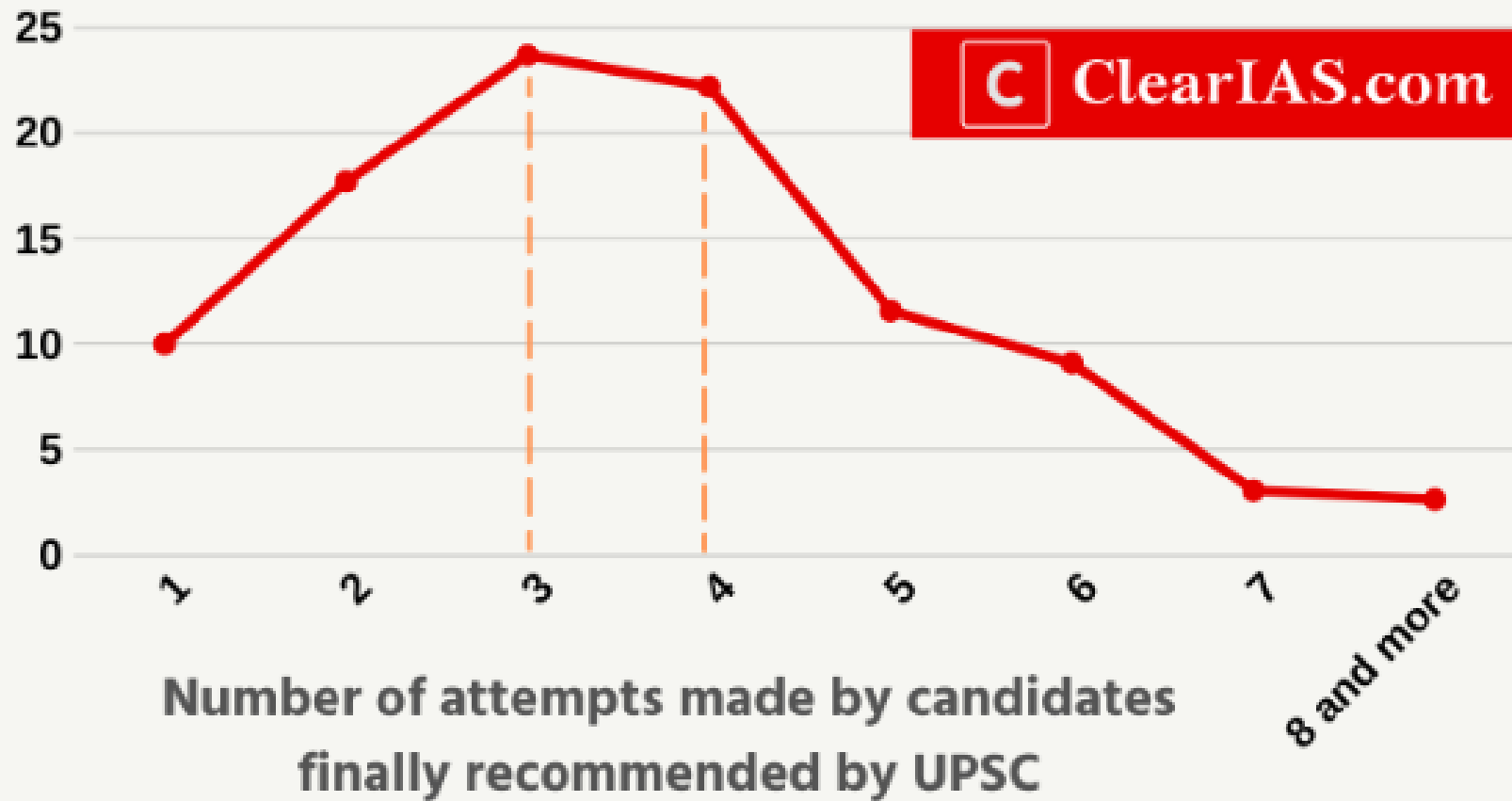


“I might as well continue dating someone bad for me because I’ve already invested so much in them.”



“I might as well keep eating because I already bought the food.”

Percentage of candidates







Sunk Cost Fallacy

Example:

You have already spent ₹50,000 on a course, but after attending it for a month, you realize it is not useful.

You continue **only because you have already paid.**

Debias:

Ask: **“If I had not spent anything so far, would I choose to continue today?”**

Focus on **future costs and benefits**, not past investment.



Debiasing sunk cost fallacy

1.Engineering Projects: Continuing a failing project because “we have already invested ₹10 crore.” → **Debias:** Evaluate only the future cost, benefits and feasibility.

2.Technology/Equipment: Continuing to repair an old machine because “we have already spent so much on it.” → **Debias:** Compare future repair costs with the cost and benefits of replacement.

3.Personal/Business Decisions: Continuing a job, course, product or business venture because of time/money already invested. → **Debias:** Ask, “**What would I choose if I were starting today?**”

Availability bias



Estimating what is more likely by what is more **available** in memory,

which is biased towards
vivid, unusual, or emotionally charged examples

Caught In The Lift



9/11



26/11



Availability Bias – Engineering Example

Example:

An engineer recently witnessed a **battery overheating incident** in the lab. When evaluating a new battery design, the engineer immediately believes overheating is the **most likely failure**, even though historical data shows that electrical connection failure is much more common.

Debiasing:

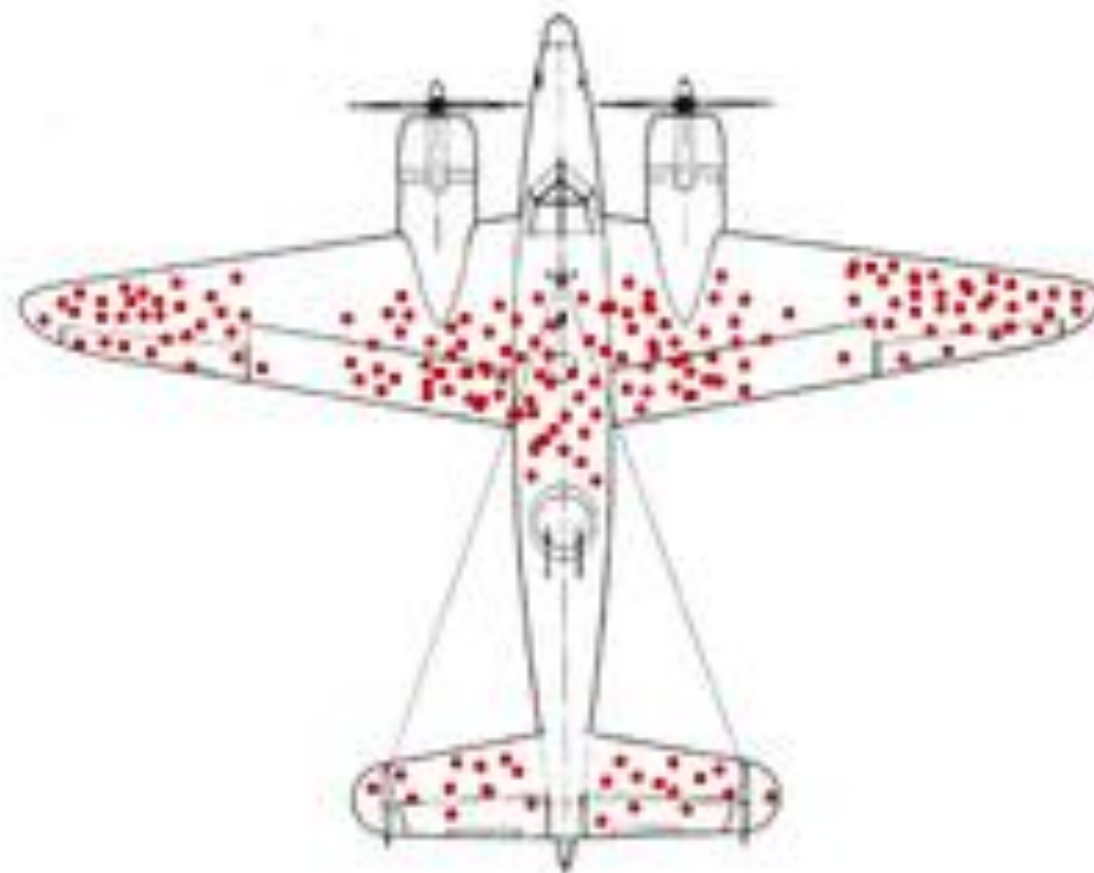
Ask: “**Am I judging the probability based on what I remember easily, or on actual failure data?**” → Check **base rates, historical records and multiple failure modes** before deciding.



Application

- Am I focusing on available information in my memory only? Or can I stretch it?
- Students might overestimate the importance of the topics they've recently studied or those frequently appearing in mock tests while **underestimating less common but still critical topics**.
- **Medical Decisions:** A recently heard story about a rare disease may make someone overestimate their own risk.
→ **Debias:** Consider prevalence and base rates.
- **Business/Investing:** A memorable success or failure may disproportionately influence an investment decision.
→ **Debias:** Use historical data and multiple sources rather than memorable examples.







6 Survivorship Bias

The tendency to concentrate on the people or things that "**survived**" some process and ignore those that didn't, or

arguing that a strategy is effective given the winners while **ignoring** a large number of losers.



Singing competition



Lottery winners



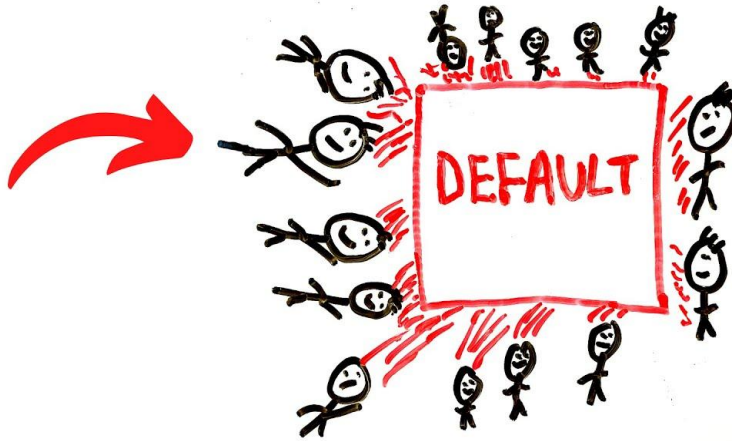
Chetan Bhagat
IIT Delhi



Application

- Avoid Blindly Copying Success Stories
- Customize the approach

STATUS QUO BIAS



- A preference for the maintenance of one's existing state of affairs.
- The bias intersects with other non-rational cognitive processes such as [loss aversion](#)



Example:

An engineering team continues using an **old software/tool** simply because “we have always used it,” even though a newer system is faster, safer and more efficient.

Debiasing:

Ask: “**If we were choosing this system today from scratch, would we still select the current one?**” Compare the current option with alternatives using objective criteria.

3 Applications

- 1.Engineering Design:** Continuing with a traditional design despite better alternatives.
- 2.Work Processes:** Following inefficient procedures because employees are accustomed to them.
- 3.Technology:** Avoiding new technology because changing the existing system feels risky or inconvenient.



Status Quo / Anchoring bias advantages?

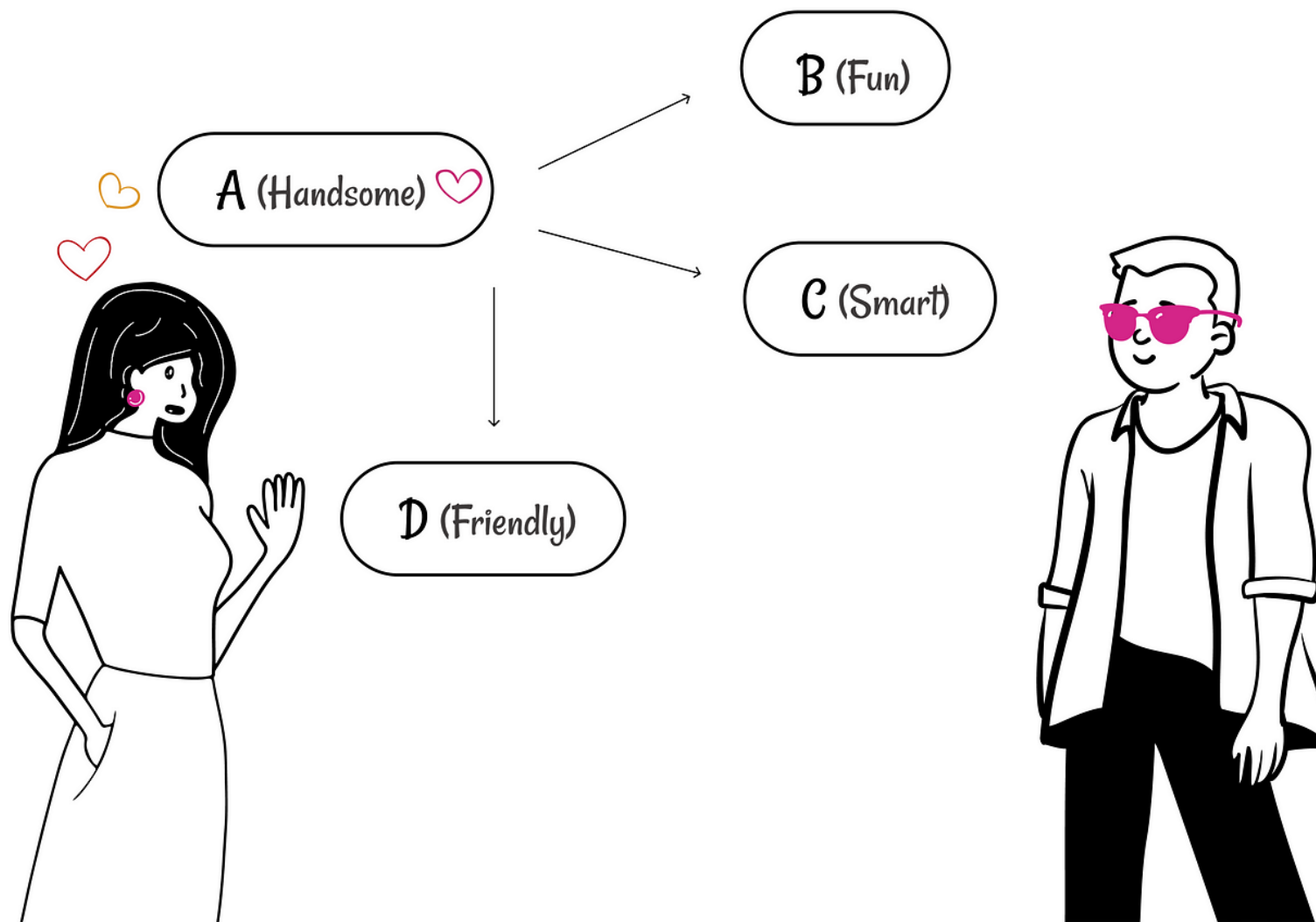


The Halo Effect

The "halo effect" is when one trait of a person or thing is used to make an *overall judgment* of that person or thing.

angroup.com

NN/g





Application

- Not getting stressed with outward impressions of others
- How can I manage my impression @interview?

Bias	Definition	Example	Debiasing
Halo Effect	One positive quality influences our overall judgment of a person.	A student speaks confidently, so the teacher assumes they are also highly competent.	Rate each quality separately using objective evidence.
Horn Effect	One negative quality influences our overall judgment of a person.	An employee is late once, so the manager assumes they are generally unreliable and incompetent.	Separate the behaviour from the person and examine evidence across different areas.

How to Debias Halo & Horn Effects

- 1 Separate the dimensions:** Evaluate each quality independently rather than letting one impression influence everything else.
- 2 Use evidence:** Base ratings on **specific behaviors, performance data and multiple observations**, not general impressions.
- 3. Delay the overall judgment:** Form the overall evaluation **only after** rating individual criteria separately.

Simple rule for students:

“Don’t let one bright spot—or one dark spot—colour the whole picture.”

BANDWAGON EFFECT



A psychological phenomenon where people do something because others are doing it.

Reels



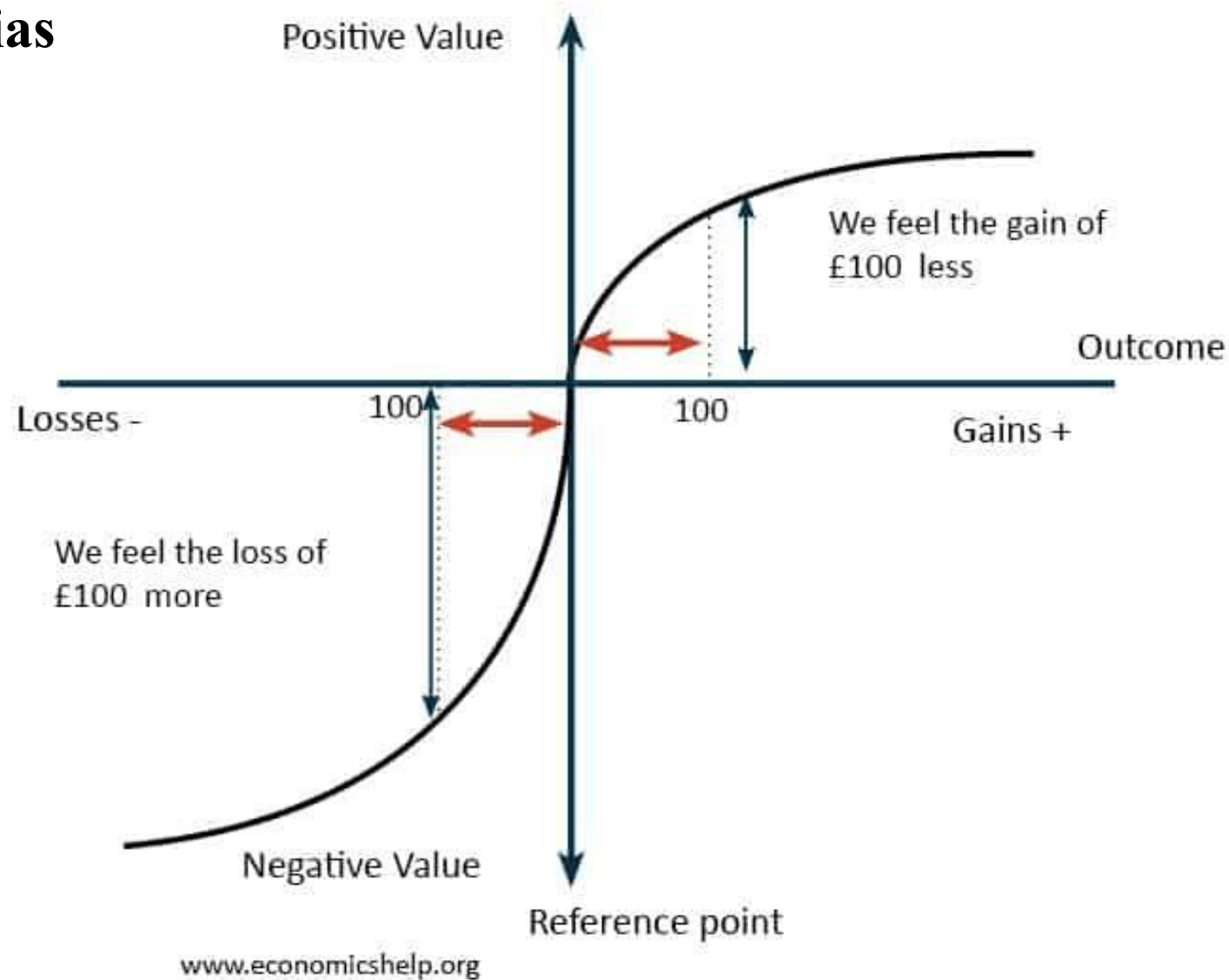
- Dancing [uncle](#)



Application

- Am I just a part of the herd? And following others?
- Ask reflect debias....

10 Negativity Bias





10 Negativity Bias

The tendency to give **more attention, weight and importance to negative information** than equally significant positive information.

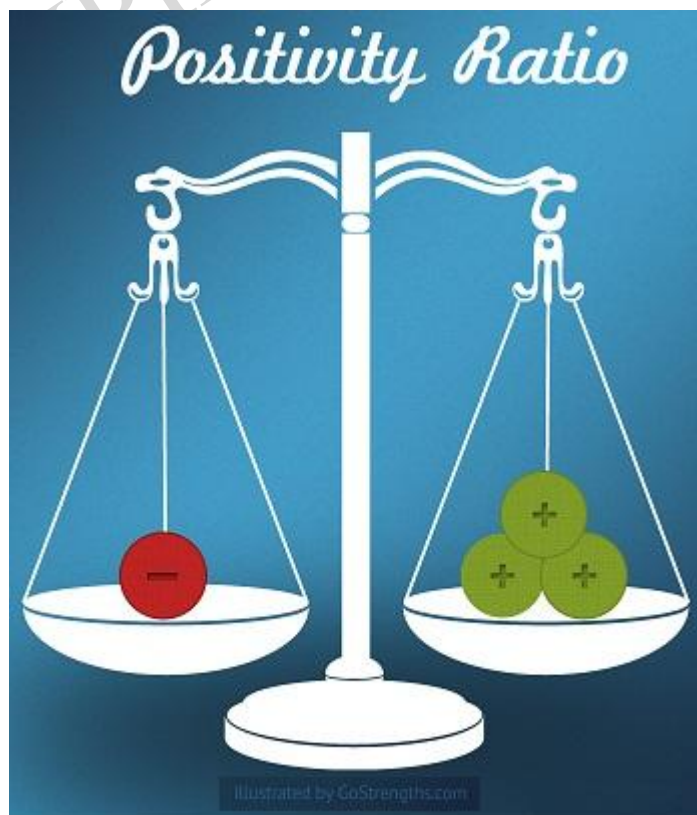
An engineer receives **9 positive comments and 1 critical comment** about a design, but keeps thinking about the one criticism and starts doubting the entire design.

Debiasing

- 1. Balance the evidence:** Deliberately identify both positive and negative information.
- 2. Check proportions:** Ask, *“Is this one negative event representative of the overall pattern?”*
- 3. Use objective data:** Base the decision on the **complete evidence**, not the most emotionally powerful information.

Simple rule:

“One negative signal is information—not the whole picture.”

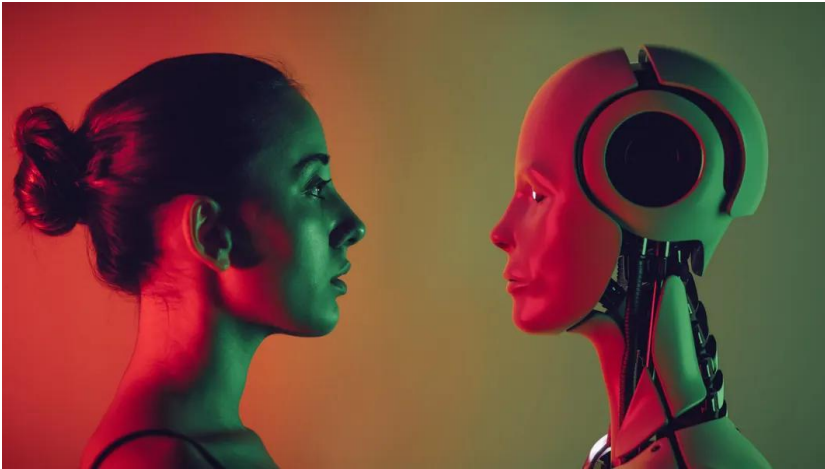


Source: Fredrickson, B. (2009). *Positivity*. Illustrated by GoStrengths.

We may need
triple positive strokes
to manage negative events.

Being objective about your performance

11 Automation Bias

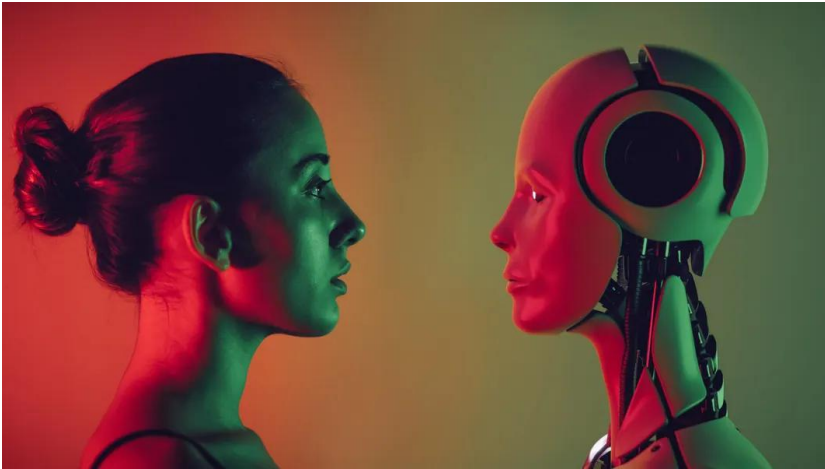


The tendency to over-rely on recommendations or decisions made by automated systems/AI, assuming they are correct.

Example:

An engineer accepts an AI diagnostic tool's suggestion that a machine has a bearing fault without independently checking other possible causes.

11 Automation Bias



Debiasing

Treat automation as advice, not truth: Ask, “**What evidence supports this recommendation?**”

Verify independently: Check data, assumptions and alternative explanations.

Know when to override: If the output conflicts with observations or domain knowledge, investigate before accepting it.

Simple rule:

“AI can assist the decision; it should not replace the decision-maker.”

1



PAUSE & NOTICE

Pause before deciding. Notice your immediate thoughts, feelings and assumptions.

"What am I assuming right now?"

2



SEEK DISCONFIRMING EVIDENCE

Actively look for information that goes against your belief or hypothesis.

"What evidence would prove me wrong?"

3



CONSIDER ALTERNATIVES

List other possible explanations or options. Compare them fairly.

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EVALUATE OBJECTIVELY

Use data, facts, or experiments. Rate each option based on evidence, not intuition.

"What does the data actually show?"

5



DECIDE & REVIEW

Make the decision. Later, review the outcome and learn. Update your thinking.

"What did I learn? How will I improve next time?"



Case Study –

1. WHAT IS THE BIAS?

Identify the cognitive bias illustrated in the case.

2. WHY DID IT HAPPEN?

What thinking or information led the person/team toward this bias?

3. HOW CAN WE DEBIAS?

What could the person/team do differently to make a better decision?

Also provide 1 real life example of the same bias.



Task

- Spot your **own** biases
- Develop a debiasing strategy



In a nutshell,

- **A more mindful and strategic approach**
- **Self-awareness of biases**
- **Objective feedback**
- **Flexible strategies**
- **Balanced preparation and mindset**



Key points

*System 1 System2 Characteristics and examples

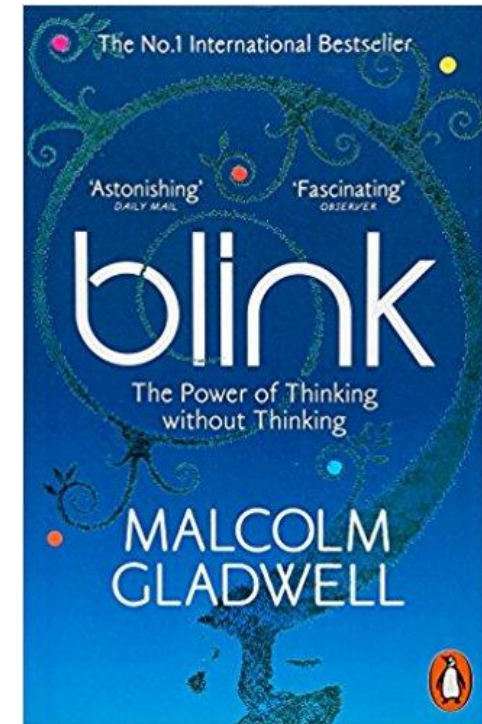
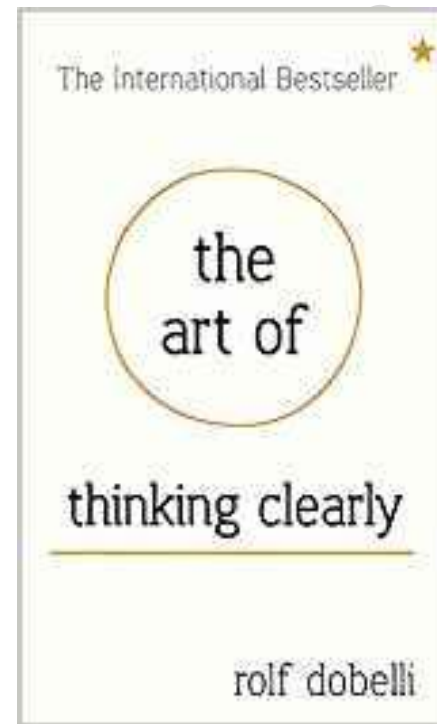
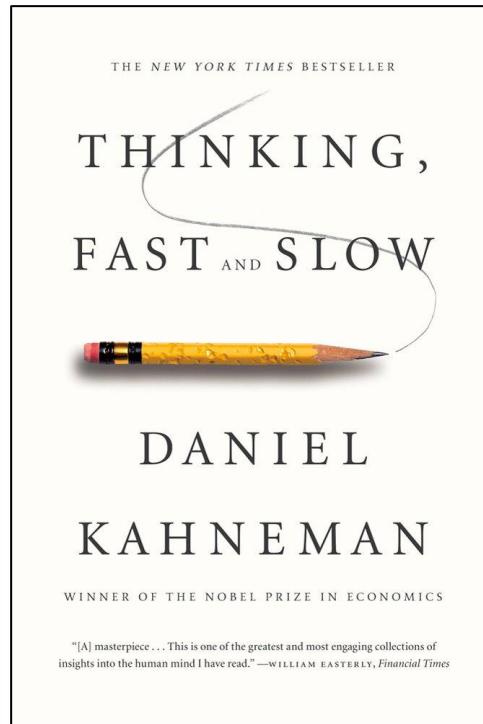
Biases

- | | |
|----------------------|-----------------------|
| 1. Confirmation Bias | 7. Status Quo Bias |
| 2. Framing | 8. Halo / Horn effect |
| 3. Anchoring | 9. Bandwagon effect |
| 4. Sunk Cost Fallacy | 10. Negativity Bias |
| 5. Availability | 11. Automation Bias |
| 6. Survivorship bias | |

Identify
Justify
Debias
Application
Etc.



Reference Books





Decision Making

Models & Tools



Dr. Deepak Gupte



Decisions?

- Career?
- College?
- Friends
- Job/Business

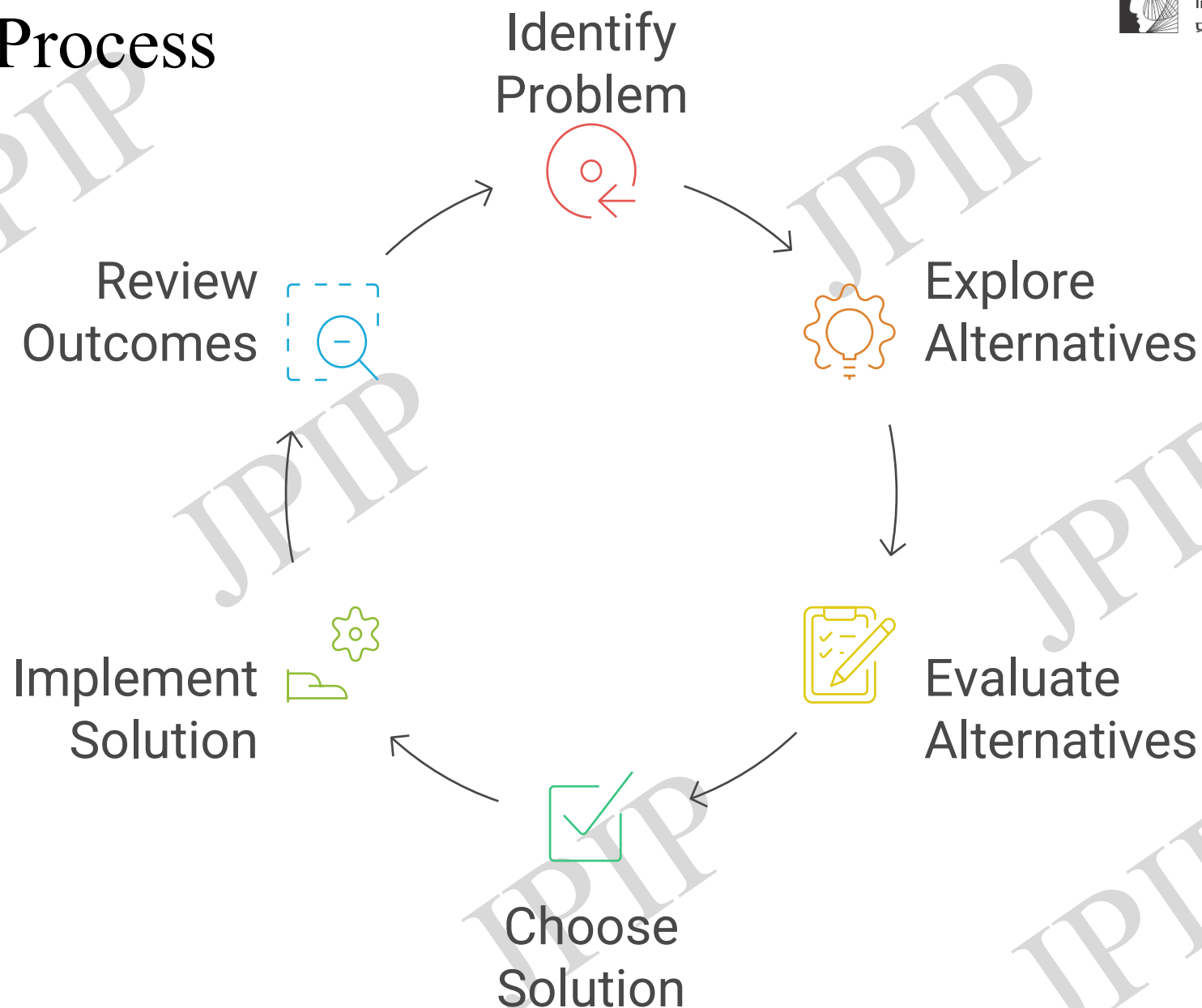
- Mobile
- Route to college
- Breakfast



Introduction

- **Definition:** Selecting from alternatives to solve problems or leverage opportunities (Aamodt, 2013).
- **Importance:** Drives organizational success, safety, productivity.

Decision Making Process



Schultz & Schultz, 2013



Types of Decision Making Models

1. Rational Model
2. Bounded Rationality
3. Intuitive Model
4. Recognition-Primed model

	Decision-Making Model	Key Words	Pros	Cons	Examples
1	Rational Model	Stepwise , logical, data-driven, alternatives evaluation	Clear, structured, reduces mistakes	Time-consuming, needs full data	Civil Engg: Evaluating multiple bridge designs by analyzing cost, safety, durability, and then choosing the best option. Mechanical Engg: Selecting a new CNC machine by comparing efficiency, vendor reliability, and maintenance costs.

	Decision-Making Model	Key Words	Pros	Cons	Examples
2	Bounded Rationality	Information and time are limited satisficing, time pressure, shortcuts	Quick, practical in real-world	May ignore better options, risk of bias	Electrical Engg: Choosing a cable supplier quickly when the original supplier is out of stock, based on availability rather than full quality comparison. IT Engg: Hiring a programmer under deadline pressure by picking someone “good enough” without fully testing skills.

	Decision-Making Model	Key Words	Pros	Cons	Examples
3	Intuitive Model	Gut feeling, experience-driven, rapid choice	Fast, useful in uncertainty, leverages experience	Subjective, may overlook evidence	Civil Engg: A site supervisor deciding to halt concrete pouring due to sudden weather changes, without running full tests. Mechanical Engg: An experienced technician sensing from machine vibration that a bearing will fail soon.

	Decision-Making Model	Key Words	Pros	Cons	Examples
4	Recognition-Primed Model (RPD)	Pattern recognition , expertise, simulation in mind	Fast for experts, effective in emergencies	Requires experience, less effective for novices	Electrical Engg: A senior electrician immediately identifying a short circuit cause by recognizing a familiar burning smell and breaker pattern. IT Engg: A network engineer quickly diagnosing a server downtime issue by recognizing past failure patterns.

Decision Making tools **Decision Matrix**

Prioritization Matrix or Weighted Scoring Model

- ✓ A structured tool to **compare multiple options side-by-side**
- ✓ Uses **pre-defined criteria** to evaluate each option
- ✓ Criteria are given **weights** based on importance
- ✓ Each option is scored, then total scores help identify the best choice
- ✓ Makes the decision process logical, visual, and easy to explain

When to Use a Decision Matrix

- ☒ You have more than one good option
- ☒ Decisions involve multiple, weighted factors (e.g., cost vs. risk vs. speed)
- ☒ You need to compare options fairly and objectively
- ☒ You want to reduce bias and avoid emotional or rushed decisions

Steps to Create a Decision Matrix

1. List the decision options

2. Identify decision criteria

3. Assign weights to each criterion

4. Score each option on each criterion

5. Multiply scores by weights and total

6. Highest total = best choice

Benefits of the Matrix

- Clear, structured method
- Logically justifies decisions
- Minimizes emotional bias
- Easy to explain to others



Example

Decision: We want to go for a PICNIC.

Criteria: Duration, cost, fun activities, Safety etc..

Options:

☞ Use matrix to decide



Criteria Weightage

- Duration 3
- Cost 4
- Fun activities 5
- Safety 4

Decision Options

Goa

Mulshi

Alibag

Decision Matrix Table Template



Jnana Prabodhini's
Institute of Psychology
प्रज्ञा - मानस संशोधिका

- ◇ Fill in scores (e.g., 1 to 5), multiply by weight, and sum across each row.

Options \ Criteria	Criterion 1	Criterion 2	Criterion 3	Criterion 4	Total Score
Option A					
Option B					
Option C					
Weights (1–5)					

Choosing a picnic spot

Options \ Criteria	Duration	Cost	Fun Activities	Safety	Total Score
	Rating x Weightage	Rating x Weightage	Rating x Weightage	Rating x Weightage	
Goa	$2 \times 3 = 6$	$3 \times 4 = 12$	$5 \times 5 = 25$	$2 \times 4 = 8$	51
Mulshi	$5 \times 3 = 15$	$5 \times 4 = 20$	$3 \times 5 = 15$	$5 \times 4 = 20$	70
Alibag	$4 \times 3 = 12$	$4 \times 4 = 16$	$4 \times 5 = 20$	$4 \times 4 = 16$	64

What will you choose? WHY?

Group Activity

- List options & criteria
- Build a matrix as a group
- Discuss results & insights

1. I want to purchase a mobile.
2. I want to choose between job, education, abroad education, start up
3. I want to choose from 3 organizations in campus interview



Decision Making in Teams - Introduction

- Teams pool diverse skills and knowledge.
- Often lead to better quality decisions than individuals.
- Require coordination and open communication.



Advantages & Challenges of Team Decision Making

- **Advantages:** Multiple perspectives, creativity, shared responsibility.
- **Challenges:** Groupthink, conflicts, delays.
- **Mitigation:** Assign roles, encourage dissenting views.



Tools for Team Decision Making

- Brainstorming
- Nominal Group Technique
- Decision Matrices.

1 Nominal Group Technique (NGT)

Structured method for group brainstorming that encourages equal participation and helps generate and prioritize ideas, to minimize the influence of dominant personalities.

Ensuring that everyone's voice is heard during the decision-making process.

1. Silent idea generation:

Participants independently write down their ideas on a specific topic or problem, without any discussion.

2. Round-robin sharing:

Each member shares one idea at a time, which is recorded on a shared surface for everyone to see.

3. Clarification:

Ideas are discussed for clarification and to ensure everyone understands them.

4. Individual ranking:

Each participant privately ranks the ideas based on their preference.

5. Group discussion and decision:

The group discusses the rankings and collectively decides on the most favored ideas.

2 SWOT Analysis - Overview



SWOT Analysis - Practical Exercise

- **Case:** Company launching new product.
- Groups discuss impact on decision making.

Strengths R&D capability	Weaknesses Limited distribution.
Opportunities Growing market	Threats Competitors

SWOT Analysis - Practical Exercise

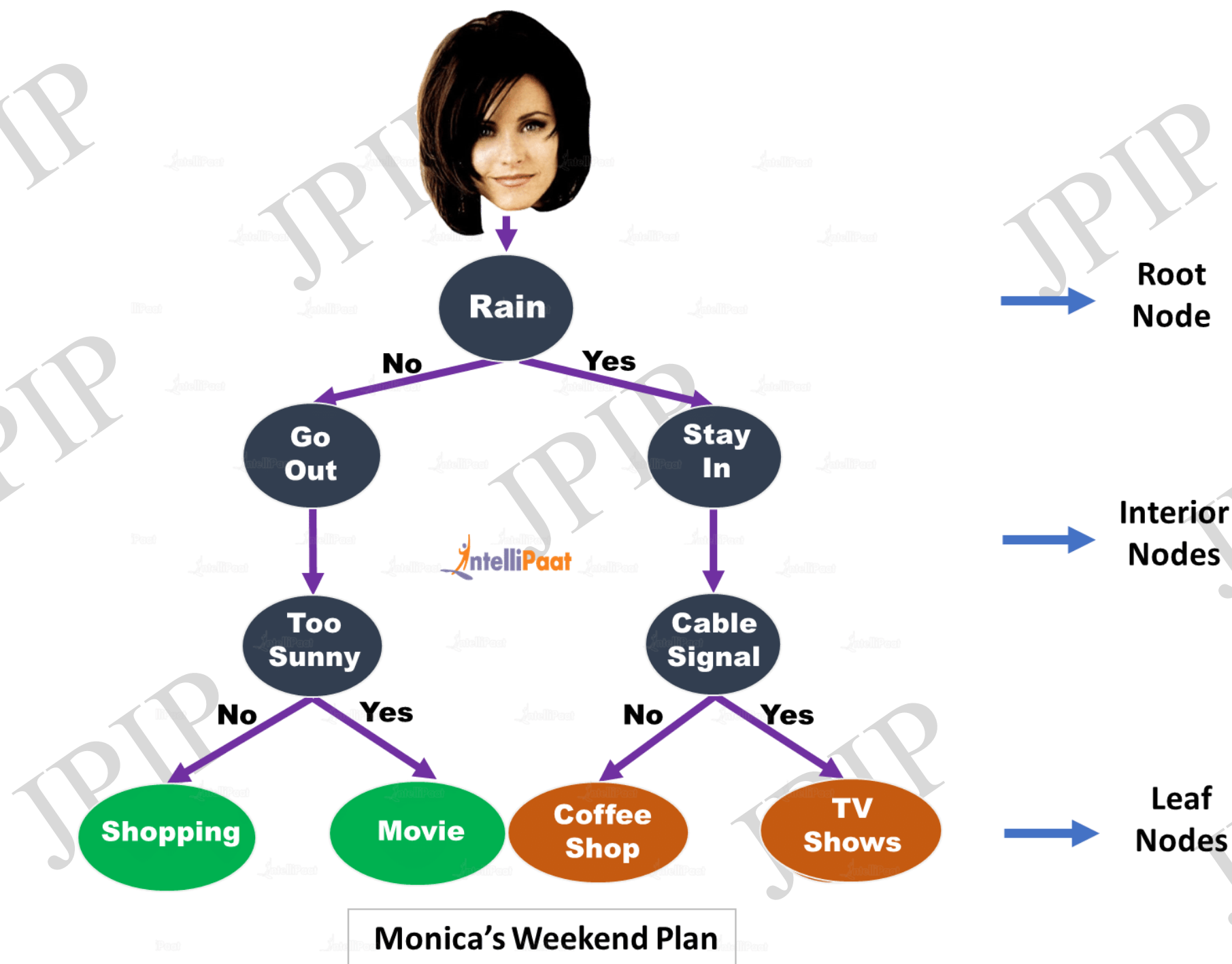
- Whether to participate in theatre competition? **College Level**
- Hiring new employees as pressure is more in your organization: **Org level**
- Whether to allow 1 new partner in your startup? **Org level**

Groups discuss impact on decision making.

Strengths	Weaknesses
Opportunities	Threats

3 Decision Trees - Overview

- Visual representation of decisions, outcomes, and probabilities.
- Helps evaluate risks and rewards.
- Useful for complex choices under uncertainty.



PROJECT MANAGEMENT DECISION HELPER

SHOULD I
START THIS
PROJECT?

YES

NO

Ask not to be involved

Is it important
for the
company?

YES

NO

Is it too risky?

Is it important
for my career?

YES

NO

YES

NO

Consider not
to be involved

Start the
project

Start the
project

Do not start it



Decision Trees - Practical Example

Supplier choice:

- **Supplier A:** low cost but uncertain quality
 - **Supplier B:** higher cost but reliable.
-
- Calculate expected monetary value and make choice.
 - Walk through drawing and analysis.

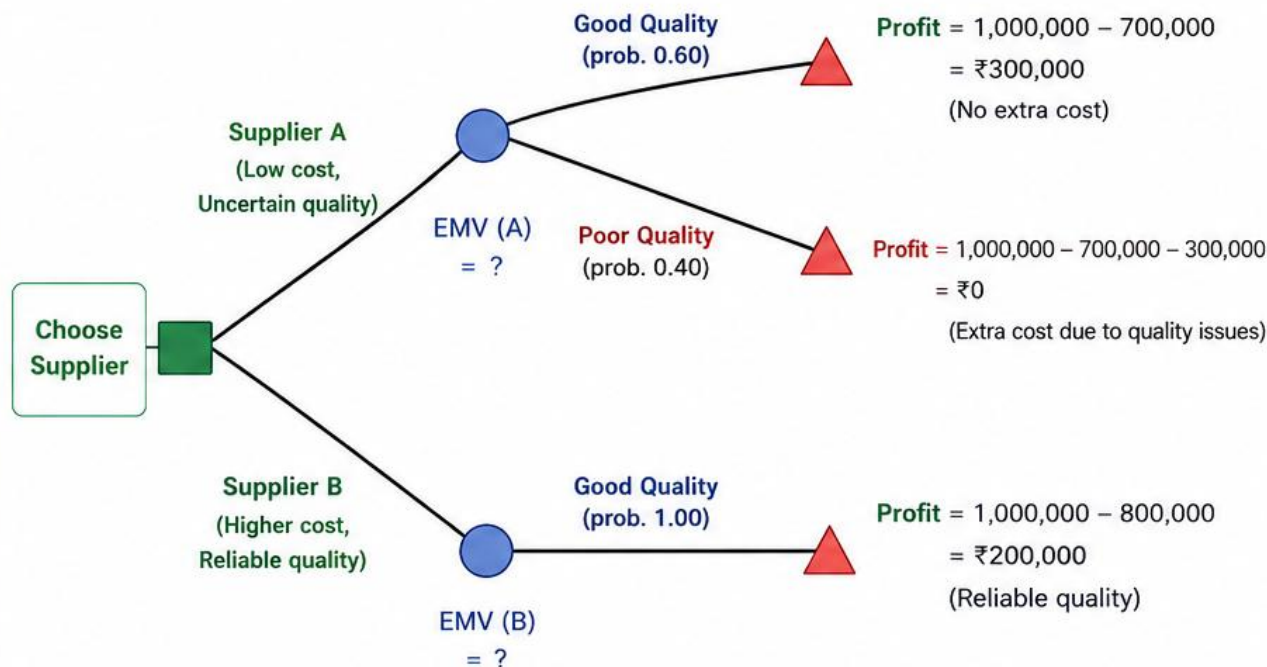
DECISION TREE: SUPPLIER CHOICE

- Supplier A: low cost but uncertain quality
- Supplier B: higher cost but reliable
- Goal: Minimize expected cost (or maximize profit)

- Decision Node (□)
- Chance Node (○)
- ▲ Terminal Node (△)

Key Assumptions (Example)

Order quantity value (sales revenue) if all goes well = ₹1,000,000
 Cost with Supplier A = ₹700,000
 Cost with Supplier B = ₹800,000
 If quality is poor (Supplier A):
 extra costs due to rework, returns, delays, penalties = ₹300,000



EXPECTED MONETARY VALUE (EMV) CALCULATION

1) Supplier A

Outcome	Probability	Profit (₹)	Probability × Profit (₹)
Good Quality	0.60	300,000	180,000
Poor Quality	0.40	0	0
EMV (A) = $\sum (p \times \text{profit}) =$			₹180,000

2) Supplier B

Outcome	Probability	Profit (₹)	Probability × Profit (₹)
Good Quality	1.00	200,000	200,000
EMV (B) = $\sum (p \times \text{profit}) =$			₹200,000

WALK THROUGH

1. Decision Node: We must choose between Supplier A or Supplier B.
2. Chance Nodes: For Supplier A, quality can be Good (60%) or Poor (40%). For Supplier B, quality is always Good (100%).
3. Terminal Nodes: Each end point shows the profit (or financial outcome).
4. EMV Calculation: Multiply each outcome by its probability and add.
5. Choose the option with the higher EMV.

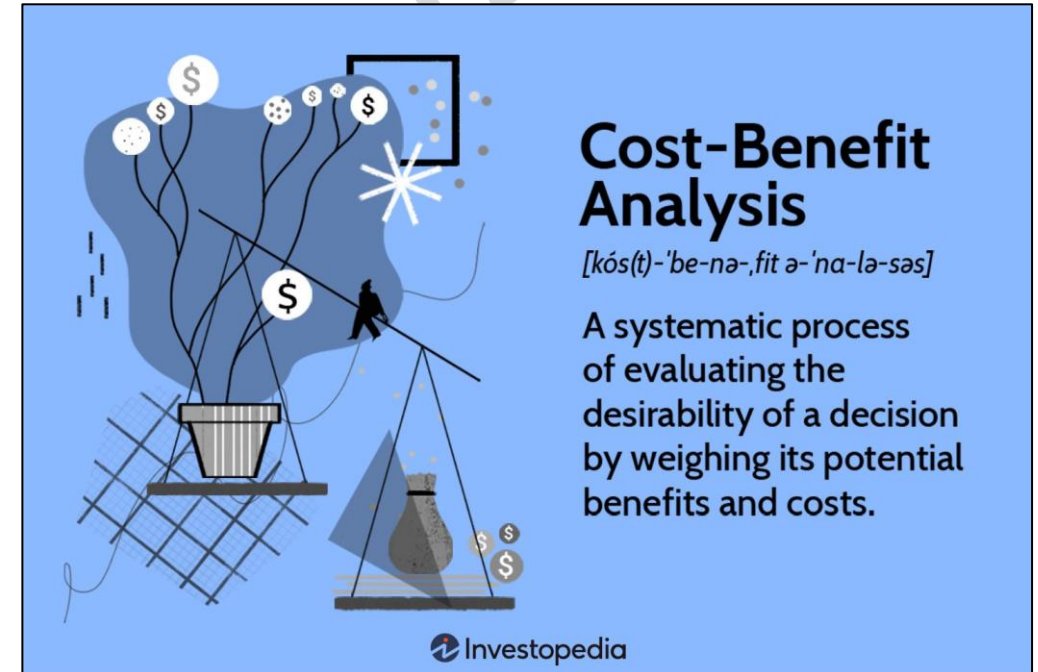
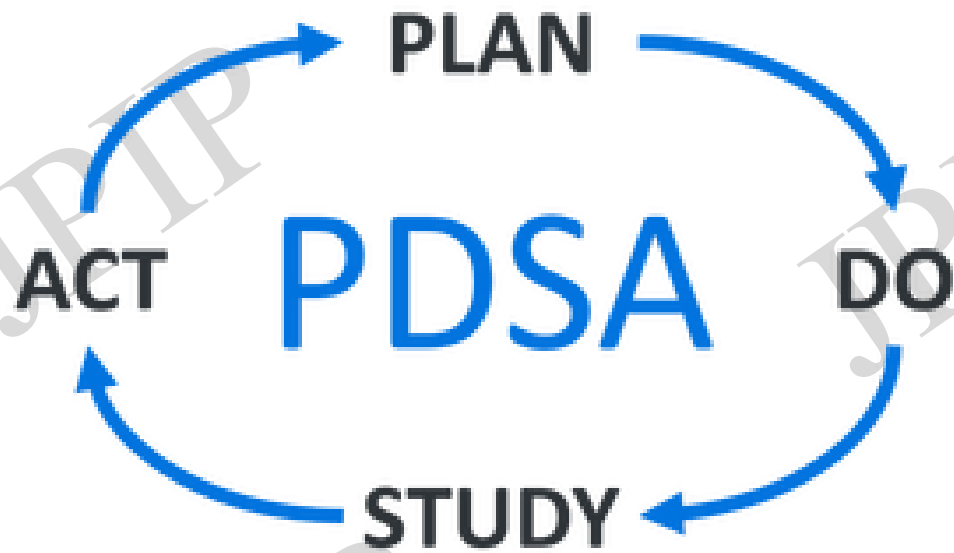


DECISION:

Choose Supplier B because its EMV (₹200,000) is higher than Supplier A (₹180,000).

Supplier B is more reliable and gives higher expected profit overall.

Other Decision Making Tools



Other Decision Making Tools



Blue Hat

Successful reflection
process



Red Hat

Intuition and feelings



Yellow Hat

Optimistic judgment,
Benefits and Hope



White hat

Available and required
information



Black Hat

Critical judgement, Risks
and Weaknesses



Green Hat

Creative and
Alternative Ideas

SMART DECISIONS. STRONG ENGINEERS. BETTER FUTURE.



NEED-BASED OR THREAT-BASED DECISION

Analyse the situation.
Identify real needs or
potential threats.
Then decide.



TAKING RESPONSIBILITY FOR THE DECISION

Own your decisions.
Accept the outcomes
and learn from them.



BEING FLEXIBLE AS WELL AS GIVING APPROPRIATE TIME TO THE DECISION

Stay open to change.
Evaluate, adapt and give
the right time for the
best outcome.



LEARNING FROM THE PAST AND MOVING AHEAD

Learn from mistakes
and experiences.
Improve and move
forward with
confidence.



THINK. DECIDE. OWN. ADAPT. LEARN. GROW.

ENGINEERING IS NOT JUST ABOUT SOLVING PROBLEMS,
IT'S ABOUT MAKING BETTER DECISIONS EVERY DAY.

Summary of Key Concepts

Decision Making Models

1. Rational Model
2. Bounded Rationality
3. Intuitive Model
4. Recognition-Primed model

Decision Making Tools

1. **Decision Matrix**
2. Decision Tree
3. SWOT
4. Nominal group, PDSA
5. Cost benefit analysis, Six thinking hats

- Review decision models and when to apply.
- Emphasize team decision benefits/tools.
- Importance of practical exercises for mastery.



References and Further Reading

- *Industrial Psychology* Aamodt, M.G. (2013)
- *Blink* Malcolm Gladwell
- *The decisive moment* Jonah Lehrer
- *Choice* by Sheena Iyengar



Application

How will you apply these models and tools in future professional life/internship?

How do you feel?
Any experience?



BWPM Unit 2.3

Organizational Climate & Culture

CLIMATE

CULTURE

Climate = what people experience

Culture = what lies underneath

Which workplace would you choose?



A

The supervisor listens to questions.
Mistakes are discussed openly.
People help one another.



B

The supervisor is rarely approachable.
People avoid reporting problems.
'Just follow the process' is the norm.

What makes A or B feel different? List 2 visible clues and 1 possible deeper reason.

Why should an engineer study this?

CONTEXT

Engineering workplaces are technical systems + social systems



Technical system

Machines • technology • processes
Specifications • algorithms
What engineers design



Human / social system

People • communication • leadership
Trust • coordination • norms
How people actually use the system

ENGINEERING PERFORMANCE

Technical system + Human system

THINK

Where can a technically excellent design fail because of people, norms, communication or leadership?

Organizational climate

CLIMATE

The shared perception of what the workplace is like

“Shared perceptions and attitudes employees hold about the organisation — its policies, practices, & procedures.”

“Perceptions and experiences of the **current organisational environment”**



PERCEPTUAL

How employees experience the workplace — not simply what policy says.



SHARED

A consistent pattern across people/teams, not one employee's opinion.



CHANGEABLE

Can shift with leadership, policies, workload or events.

INDIAN EXAMPLE

A company may have the same safety SOP on paper, yet a different safety climate across two plants or supervisors.

Climate: Litwin & Stringer's dimensions

CLIMATE

My college, my department's climate

Structure

How clear/formal are roles and procedures?

Responsibility

How much autonomy do people experience?

Reward

Is recognition linked to performance/fairness?

Risk

Is initiative and calculated risk tolerated?

Warmth & Support

Do people experience trust and help?

Standards

How strongly are excellence and performance expected?

Conflict

Can disagreement be expressed and resolved?

Identity

Do people feel they belong to the organization/team?

Communication

How open and accessible is information?

Instruction: *Think about your internship. Rate each statement from 1–5.*

1 = Strongly Disagree | 5 = Strongly Agree

No.	Statement	Climate dimension
1	People here feel comfortable asking questions or seeking help when they face a problem.	Warmth & Support
2	I have sufficient freedom to take responsibility for my work and make appropriate decisions.	Responsibility
3	Good performance and contribution are recognized fairly.	Reward
4	People can express disagreement or raise concerns without creating unnecessary conflict.	Conflict / Communication
5	Information needed to do our work effectively is communicated openly and in time.	Communication

How do we know what the climate is?

CLIMATE

Measure perceptions — then compare them with behaviour and HR data



Surveys

Questionnaires /
pulse surveys



Interviews

Individual or group
conversations



Observation

What people actually
do



HR indicators

Turnover,
absenteeism,
incidents

Important distinction

Climate is **not** the same as an objective condition. It is the shared perception of that condition.

ENGINEERING LENS

If a safety policy is excellent but near-misses are rarely reported, what does the lived climate tell you?

Climate → behaviour → outcomes

CLIMATE

A useful applied chain for engineers



Climate

How work is experienced



Behaviour

What people actually do



Outcomes

Safety • quality • turnover • performance



Positive climate

More voice, cooperation, motivation and learning



Negative climate

Silence, conflict, stress, turnover and lower output

Organizational culture

“The way we do things around here”

Shared deeper patterns, values and assumptions of an organisation that guide behaviour



DEEPER

Less visible than climate;
includes assumptions people
rarely question.



MORE STABLE

Develops over time and usually
changes more slowly.



LEARNED

New members learn it through
socialization, stories, role
models and rewards.

INDIAN EXAMPLE Tata: how founder values can persist across generations.

Climate vs. culture

CORE

The most important distinction to remember

Aspect	Climate	Culture
Depth	Surface-level perceptions	Deep values & assumptions
Stability	Can shift relatively quickly	Changes more slowly
Awareness	Usually consciously perceived	Often taken for granted
Analogy	Today's weather	Deeper pattern

TEST YOURSELF A new supervisor changes how meetings feel within a month. Is that more likely climate or culture? Why?

Schein's three levels of culture

CORE MODEL

Visible behaviour is only the tip of the iceberg

1 ARTIFACTS

Visible: dress, office design, rituals, language

2 ESPOUSED/ADOPTED VALUES

What the organization says it values: strategy, philosophy, principles

3 BASIC ASSUMPTIONS

Deep, often unconscious beliefs about people, work, risk, authority, success

Apple illustration

Artifact → minimalist store

Espoused value → simplicity

Underlying assumption → technology should feel intuitive

What does culture do?

CULTURE

Culture is an informal coordination system



Identity

Creates belonging and
“who we are”



Commitment

Connects behaviour to
shared purpose



Sense-making

Helps people interpret
ambiguous situations



Control

Guides behaviour
without constant
supervision

Strong culture Widely shared values + consistent
behaviour

**Possible
downside**

Can become rigid and
resist change

LET'S EXPLORE ORGANIZATIONAL CULTURES

Research these organizations online and note what makes their culture unique.



Leadership with Trust



FRIENDLY. ECO-FRIENDLY



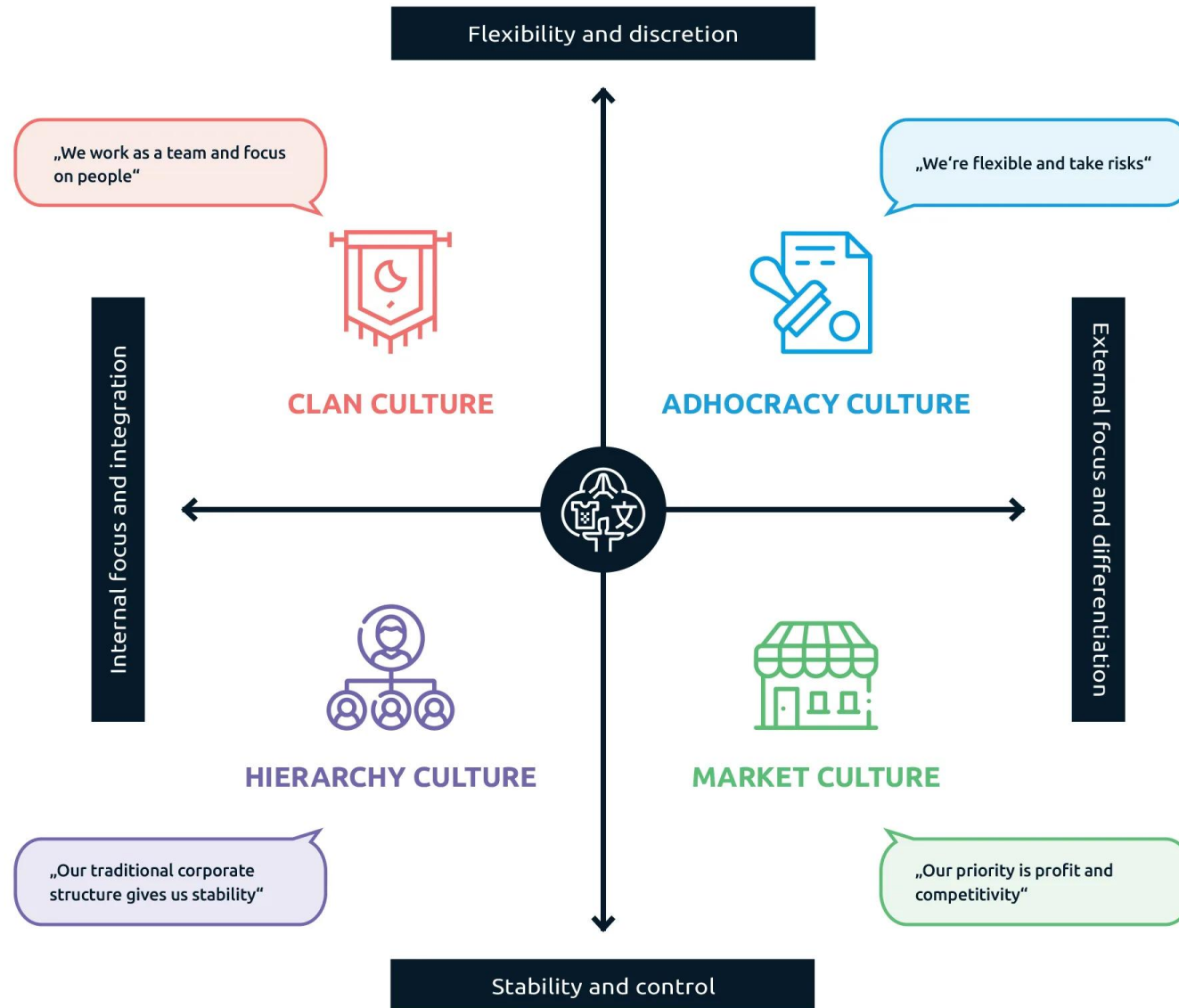
X



IIT BOMBAY
Powai, Mumbai



TYPES OF ORGANIZATIONAL CULTURE



Culture type	Main focus	Typical characteristics	Example
Clan	Collaborate	Teamwork, trust, participation, mentoring, belonging	Tata — often associated with people orientation and long-term relationships
Adhocracy	Create	Innovation, experimentation, flexibility, risk-taking, entrepreneurship	Google — innovation, experimentation and new-product development
Market	Compete	Targets, results, competition, customer focus, achievement	Amazon — strong performance and customer/results orientation
Hierarchy	Control	Rules, procedures, stability, efficiency, predictability	Indian Railways — large-scale coordination, formal procedures and reliability

Hofstede dimensions: national culture lens

FRAMEWORK

Useful for cross-cultural teamwork — not a label for every individual



Power Distance

How comfortable are people with unequal power?



Individualism / Collectivism

Personal goals vs. group loyalty



Uncertainty Avoidance

How comfortable are people with ambiguity and risk?



Long- / Short-Term Orientation

Future persistence vs. immediate results

INDIAN
WORKPLACE
EXAMPLE

An Indian engineer in a Dutch multinational may notice different expectations around hierarchy, informality and decision speed.

How culture is formed

FORMATION

Culture grows from repeated solutions that become “**the way we do things**”



Founder / early leaders

Values, priorities and early decisions leave the first imprint.



Industry demands

Safety-critical or regulated industries create distinctive norms.

Critical events

How leaders respond to crises becomes a powerful lesson.



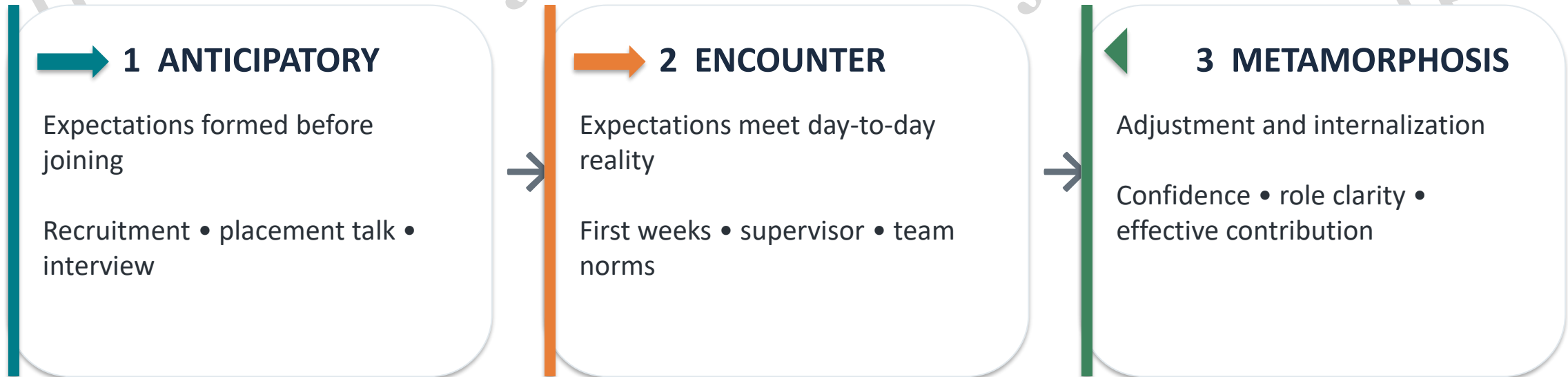
What gets rewarded

People learn what behaviour really counts.

Organizational socialization

FORMATION

How a newcomer moves from outsider → effective member



**PLACEMENT
CONNECTION**

Map your own internship/placement journey onto the three stages. Where was the biggest expectation–reality gap?

How culture spreads

FORMATION

People learn culture more from repeated signals than from posters



Stories

Founder stories, successes and crises



Rituals & symbols

Onboarding, town halls, ceremonies, spaces



Language

Shared jargon and phrases signal belonging



Role modelling

Leaders and seniors demonstrate what is expected

INDIAN EXAMPLE Wipro's "Spirit of Wipro" stories to illustrate values being repeatedly reinforced during socialisation.

Fit: person–organization ≠ person–job

APPLICATION

A subtle distinction with direct implications for retention



Person–Organization Fit

Do my values and preferred way of working fit the organization's culture?

High fit → satisfaction / commitment



Person–Job Fit

Do my abilities, interests and expectations fit the actual job?

Good culture fit can still coexist with a poor job fit.

Engineering
example

A graduate may love a collaborative company but dislike a role that is 80% repetitive documentation.

DISCUSS

Which fit would you check during campus recruitment — and what question would you ask to assess it?

When culture becomes a barrier

CHANGE

The same assumptions that once created success can later block adaptation



Deep assumptions

“This is how successful engineers work.”
“Speed matters more than reflection.”
“Questioning seniors creates trouble.”



Systems reinforce them

Rewards, promotion, policies, routines and leaders keep the old pattern alive.



Change becomes difficult

People fear the unknown and may defend familiar practices.

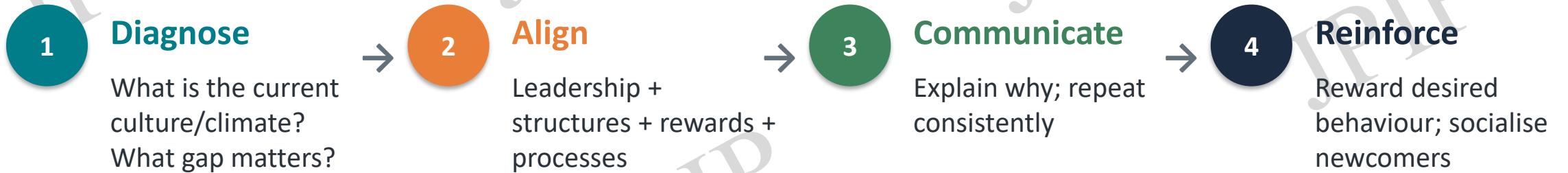
CASE CONNECTION

Nokia illustrates how a once-successful engineering orientation can become a barrier during major technology shifts.

Changing culture: from slogans to systems

CHANGE

Real change must reach behaviour, reinforcement and underlying assumptions



REFLECTION

What must change first: values, leader behaviour, reward systems, or employee behaviour? Defend your answer.

Engineering application: safety climate

APPLICATION

What does the organization really protect when output and safety conflict?



Strong safety climate

Management visibly supports safe work.
People can stop/raise concerns.
Near-misses are discussed and learned from.

Weak safety climate

Production pressure dominates.
Stopping work is discouraged.
Near-misses remain unreported.

DECISION POINT

A junior engineer sees a potential hazard 10 minutes before dispatch. What would the climate need to be for them to stop the process?

Engineering application: quality & learning

APPLICATION

Blame culture hides errors; learning culture exposes system weaknesses

Blame response

“Who caused the error?”
Focus on person/fault.
Errors may be hidden.



Learning response

“How did the system allow this?”
Focus on prevention.
Errors become learning opportunities.

Software / engineering example

A production defect is discovered. The team can punish the person who made the mistake — or examine the process, review points and communication that allowed it through.

DISCUSS

Which response is more likely to improve future quality? What climate does each response create?

Indian examples: culture in action

APPLICATION

Use examples to diagnose — not simply to admire companies



Infosys

structured induction/socialization is used to transmit norms and values to new employees.



Tata

founder values and people/community orientation illustrate how culture can persist over time.



Indian Railways / ISRO

hierarchy/control and mission discipline illustrate the usefulness of the Hierarchy quadrant of CVF.

Key question

Do not ask “Is this company good?” Ask: “What behaviour does this culture make easier — and what might it make harder?”

Group case: STOP THE LINE?

15 MIN

Diagnose the gap between formal policy and lived climate



Situation

A manufacturing plant has an excellent written safety policy. Production targets are aggressive. Supervisors dislike stoppages. Near-misses are rarely reported.



Your task

1. Identify 2 evidence points.
2. Is this mainly climate, culture, or both?
3. What behaviour is being reinforced?
4. Recommend 2 changes.

Use: CONCEPT → EVIDENCE → DIAGNOSIS → ACTION.

Mini climate & culture audit: **YOUR INTERNSHIP Org.**

15 MIN

Turn the concepts into an engineer's diagnostic tool

Rate 1–5



Leadership

Do leaders model what they expect?



Communication

Can information and bad news move upward?



Safety / Quality

What is protected when targets conflict?



Voice / Fairness

Can people question, disagree and report?

Then choose the lowest 2 scores → explain the evidence → recommend one behavioural and one system-level change.

“We think the problem is ___ because ___; change ___ would help because ___.”

Final diagnostic ladder

RECAP

- 1 What happened?
- 2 What evidence do we have?
- 3 Climate, culture, or both?
- 4 What behaviour is being reinforced?
- 5 What should change — behaviour + system?

EXAM RULE

Avoid generic answers. Always connect your recommendation to evidence and a psychological / organizational mechanism.

ORGANIZATIONAL CLIMATE & CULTURE

ORGANIZATIONAL CLIMATE (The “Weather”)

Shared perceptions about the work environment now.

How we feel today

- Motivation
- Satisfaction
- Trust
- Communication
- Support
- Work environment

VISIBLE & EXPERIENCED



Open meetings



Team morale



Communication flow



Policies in action



Physical environment

Above the waterline

ORGANIZATIONAL CULTURE (The “Iceberg”)

Deep-rooted values, beliefs and assumptions that shape behaviour over time.

ARTIFACTS

(Visible but not always understood)

Dress code, office layout, rituals, stories, symbols, language, processes, ceremonies

ESPOUSED VALUES

(Stated beliefs and values)

Mission, vision, values, strategies, goals, policies

UNDERLYING ASSUMPTIONS

(Unconscious, taken-for-granted beliefs)

Beliefs about people, authority, success, risk, time, work, relationships, truth

HIDDEN & DEEPER



Hard to see



Developed over time



Deeply held beliefs



Resistant to change



Guide behaviour unconsciously

Below the waterline



KEY TAKEAWAY

Climate is what people experience today.
Culture is why they experience it that way.



To change lasting results,
work below the waterline.

Key terms

EXIT

- 1 Organizational climate
- 2 Organizational culture
3. Difference between organisational climate and culture
- 4 Examples
5. Organisational climate: Litwin & Stringer's dimensions
6. Schein's three levels of organisational culture

Suggested learning resources / references

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Understanding Change Management





Clasp your hands together.





One word about change

- Mentimeter



Change in the college.....

1. Early Morning classes @ 6 30 am
2. Canteen shifts to healthy food only: salad and juice NO TEA VADA PAV ETC.
3. You and your group is separated now for project. NO FRIENDS.
4. UNIFORM compulsory on all days.
5. Exams will be open book. But very difficult.
6. Classes online. Only practical in person.

• **How will you cope? Plus and minus sides**

What?

Definition of Change Management

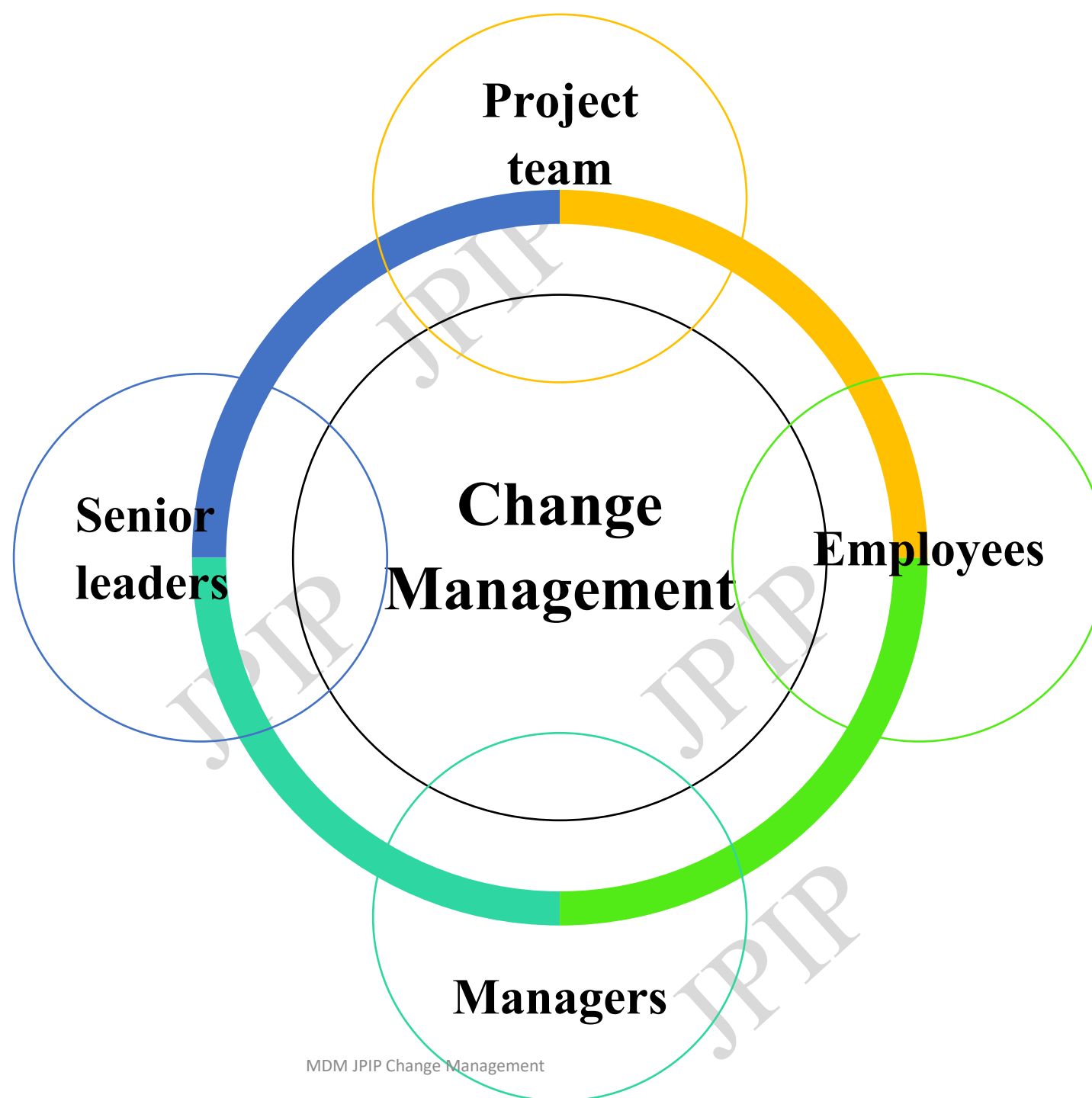
- **Structured approach** to shifting individuals, teams, organizations
- Change = structured transition at strategic, managerial, operating levels
- Moves from current → desired state
- Concerned with: People + Processes + Performance
- **meaning of change is important from employee's perspective as well as organization's perspective.**



Why **Change Management Matters**

- Global competition
- Technology (AI, robotics, IoT)
- Workforce diversity
- Sustainability pressures

Who?





Levels of Change

- Individual: learning new software
- Team: new collaboration methods
- Organization: restructuring, mergers
- Societal: Industry 4.0

Planned vs. Unplanned Change

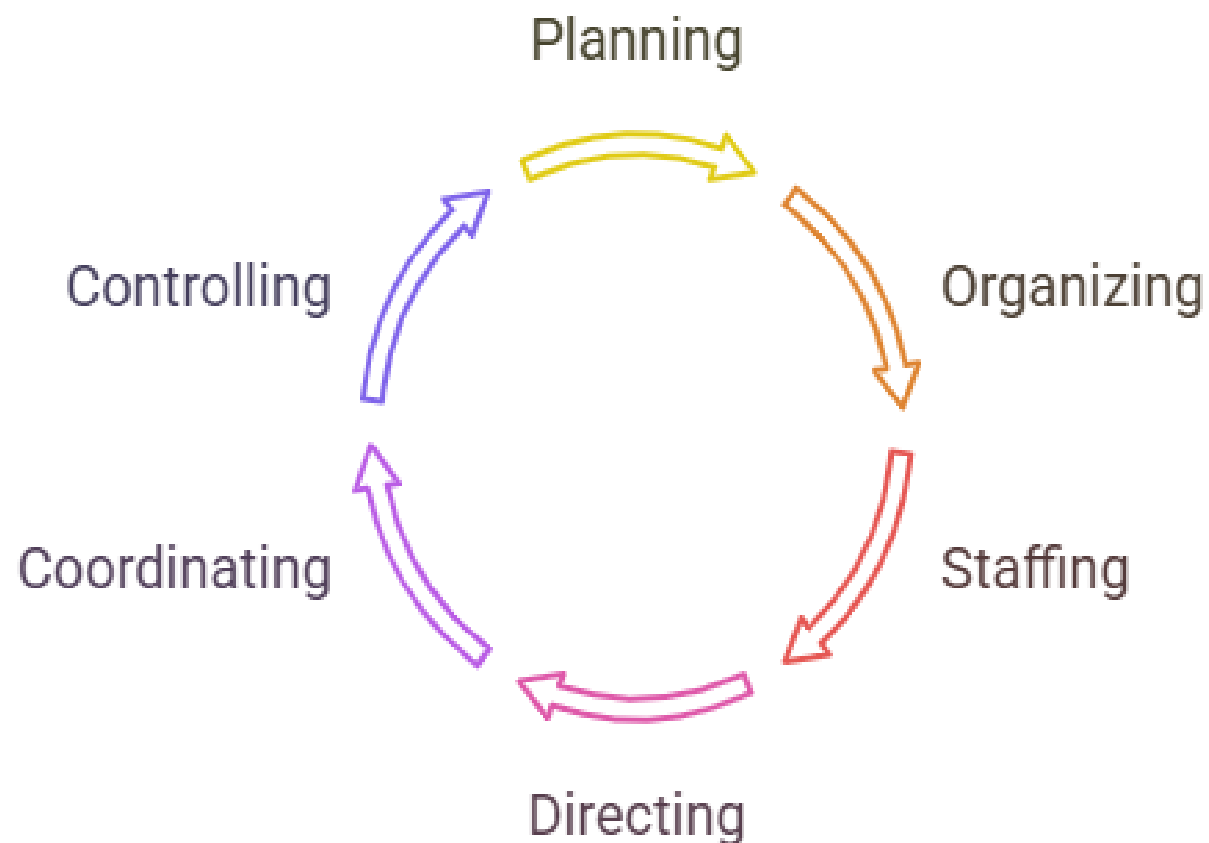
Planned change

- Implementing new software
- Restructuring an organization,
- Merging with another company,
- Changing marketing strategies,
- And adopting new technologies like digital transformation

Unplanned change

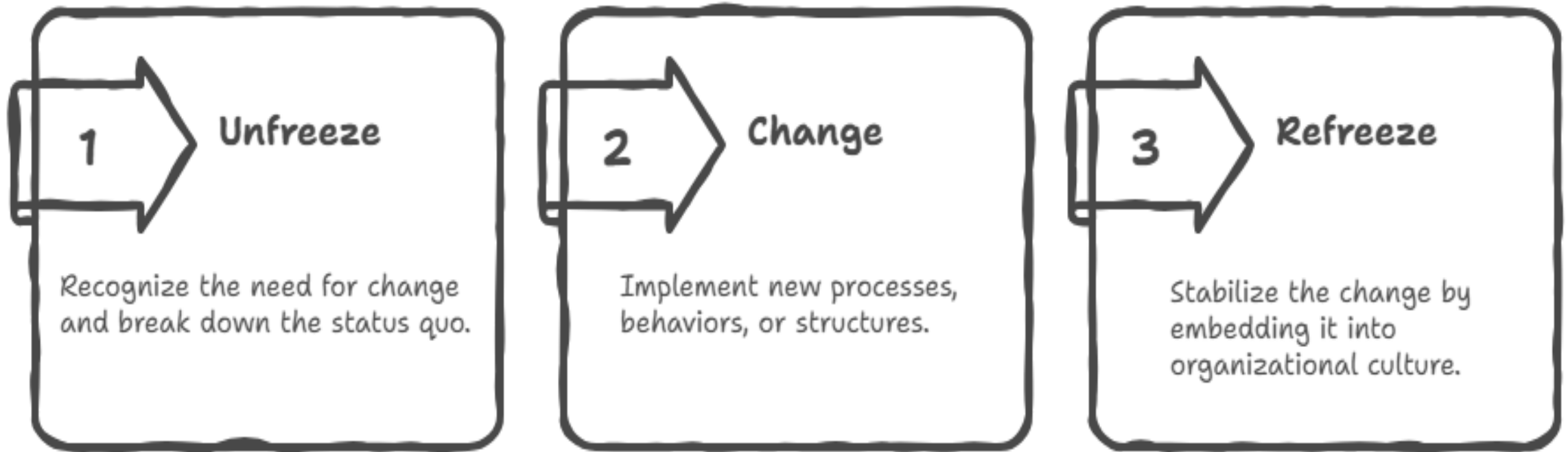
- **Economic crises**, such as a sudden downturn
- **Disruptive external events**, like a natural disaster or a sudden regulatory shift;
- **Sudden workforce changes**, such as a key employee's unexpected departure;
- And **market shifts**, including rapid changes in customer demand or increased competition.

Management Functions & Change



Made with  Napkin

1 Lewin's Change Management Model 1940

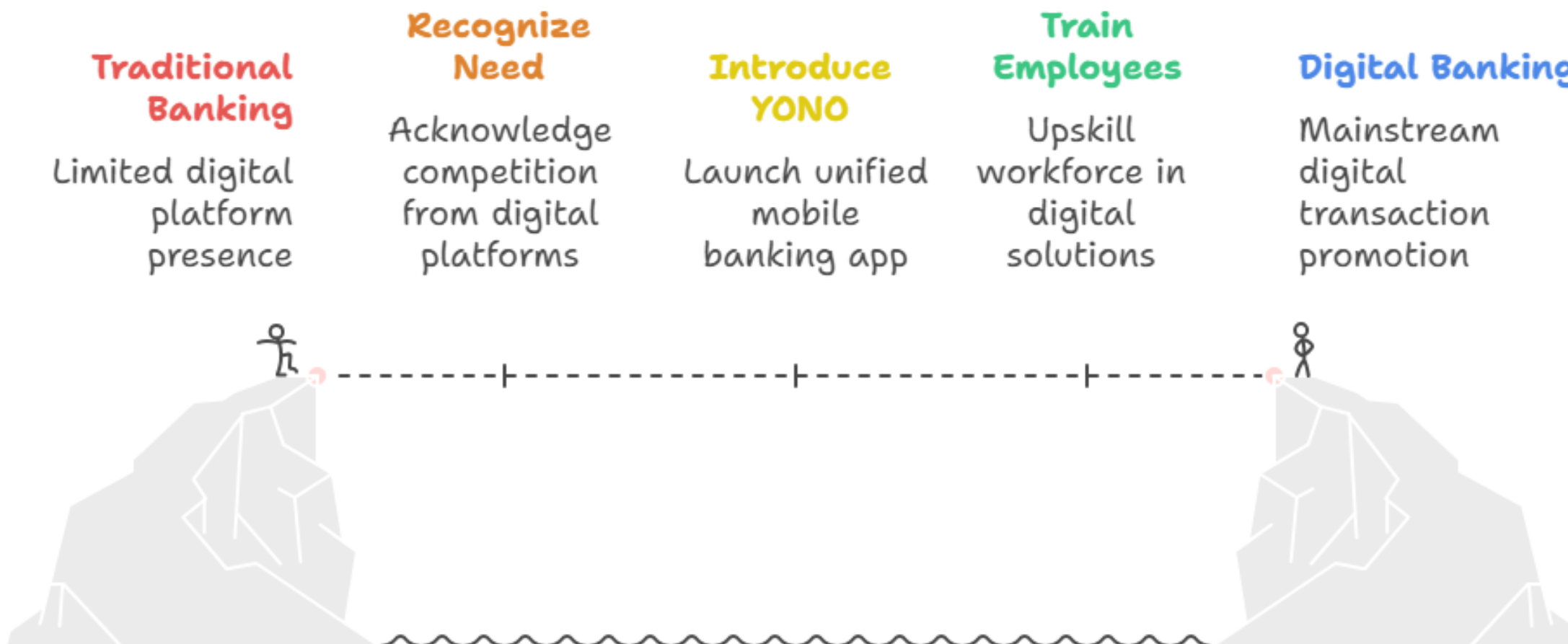


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Change Management Models

Lewin's Change Management Model

SBI's Digital Transformation





Lewin's 3-Step Model

- Unfreeze → Change → Refreeze



Force-field analysis

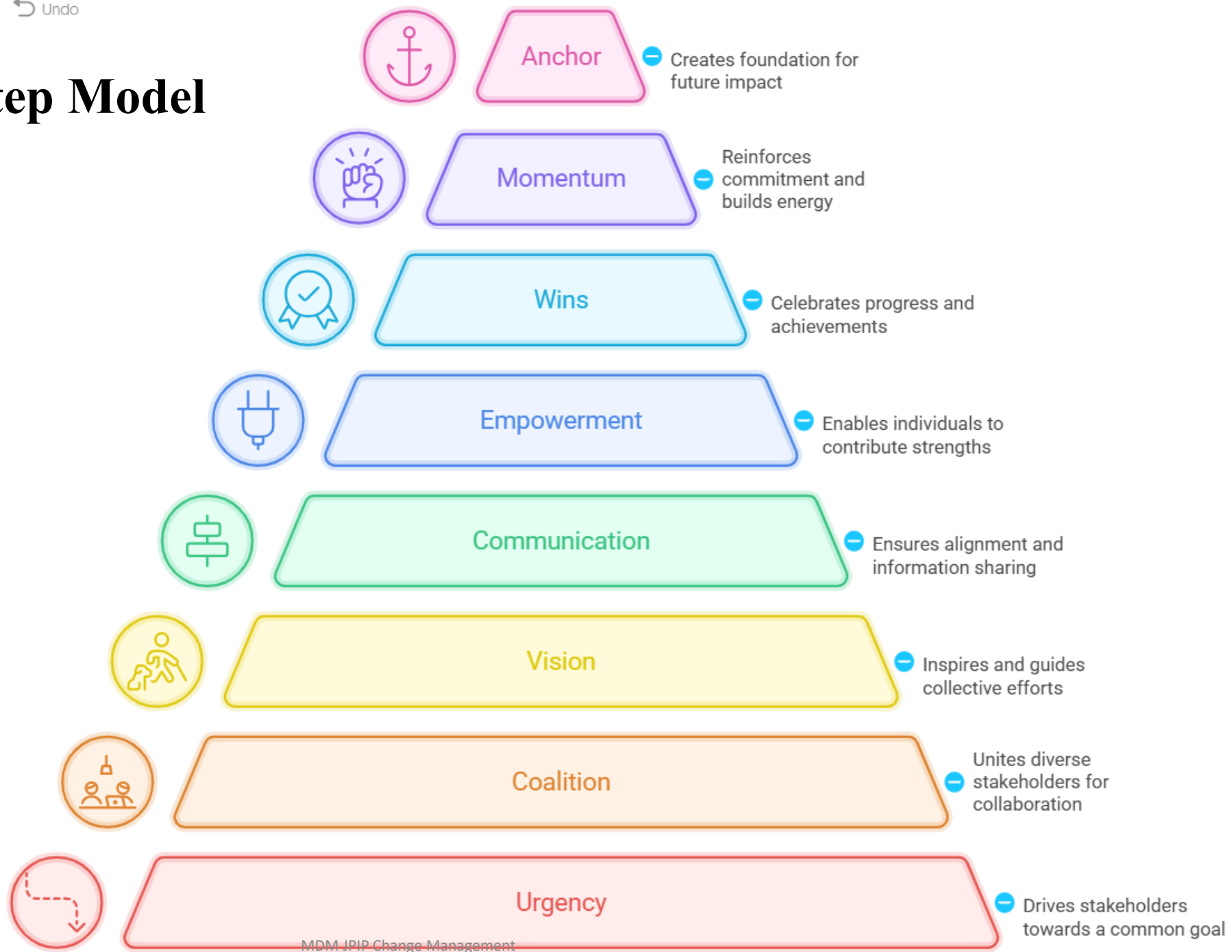
- Strategic management technique, developed by kurt lewin,
- Identifies and analyzes forces that drive change and forces that restrain it, creating a balance (or equilibrium) within a situation.
- To implement change, the analysis helps in either **increasing the strength of the driving forces** (e.G., New technology, leadership support) or **decreasing the strength of restraining forces** (Employee resistance, lack of training) to shift the equilibrium in the desired direction.

2 Kotter's 8-Step Model 1990

Focuses on the **people side of change** with 8 structured steps:

1. Create urgency
2. Form a powerful coalition
3. Create a vision for change
4. Communicate the vision
5. Remove obstacles
6. Create short-term wins
7. Build on the change
8. Anchor the changes in culture

Kotter's 8-Step Model



ADKAR Model

Developed by
Prosci founder
Jeff Hiatt in
1996



ADKAR MODEL

Real-life example (Tata Motors – Transition to EVs)

- **Awareness:** Management communicated the urgent need to shift toward sustainable vehicles due to government EV policies.
- **Desire:** Employees and stakeholders aligned with the green vision.
- **Knowledge:** Engineers trained in EV technologies and battery systems.
- **Ability:** Hands-on projects like Tata Nexon EV development.
- **Reinforcement:** Celebrated EV sales milestones, government incentives, and internal rewards kept momentum alive.



Bridges' Transition Model

- Ending/Loss → Neutral Zone → New Beginning



Weisbord's Six-Box Model

- Purpose, Structure, Relationships, Rewards, Leadership, Helpful Mechanisms



John Fisher Model

- Journey of psychological change
- Stages: Anxiety → Happiness → Fear → Guilt → Depression → Hostility → Acceptance

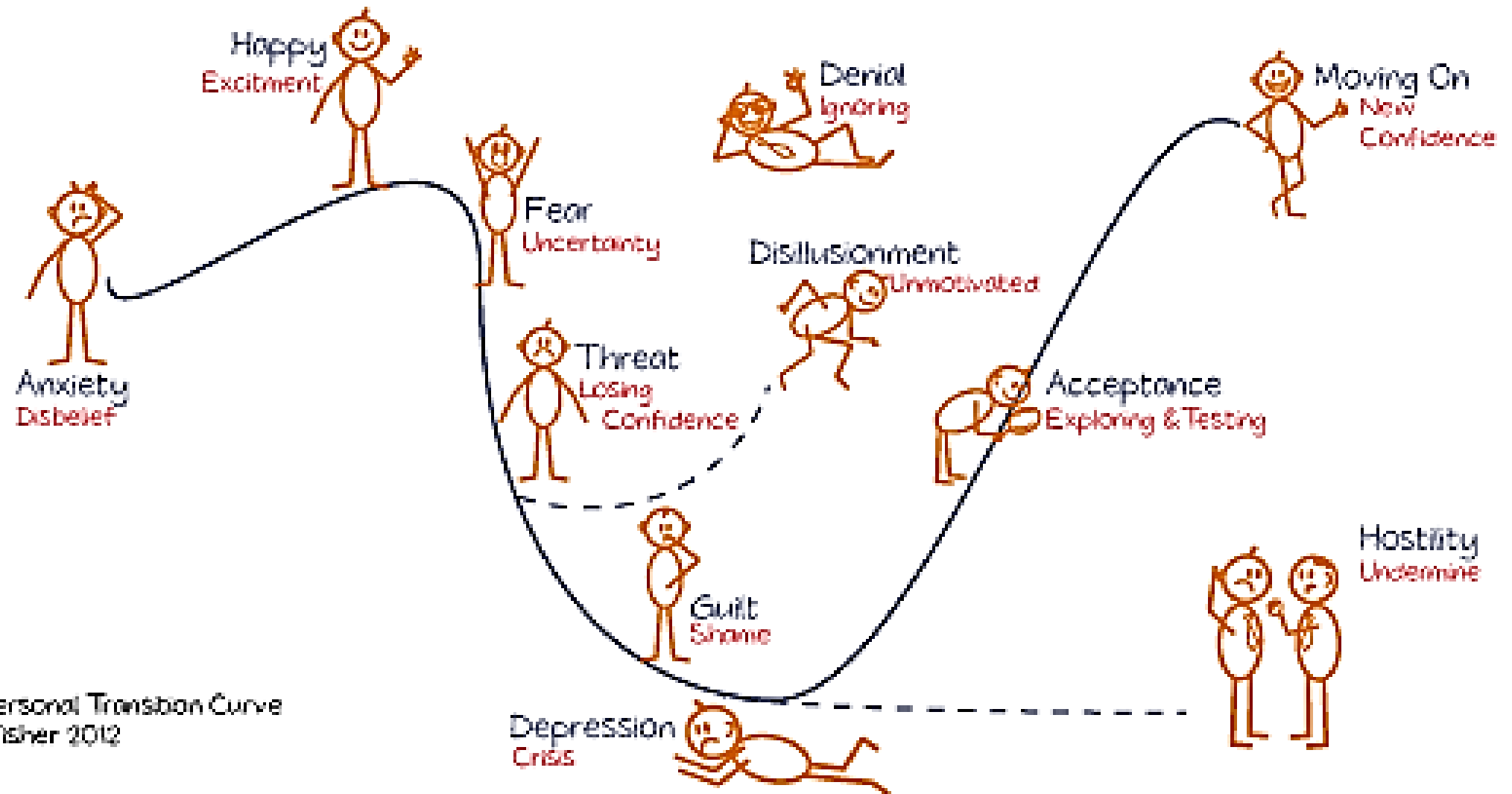


John Fisher Model

• Stages in Fisher's Model

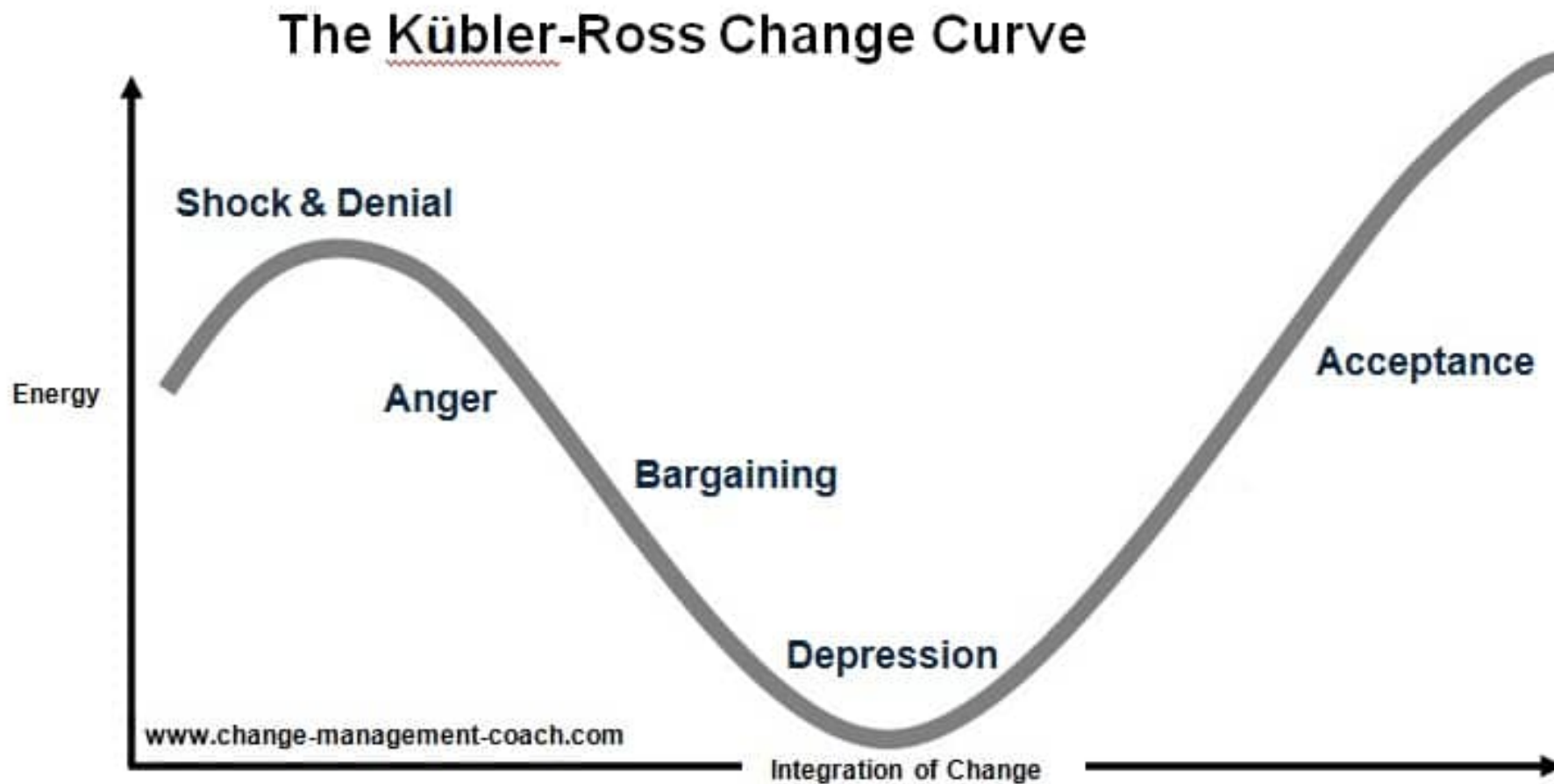
1. **Anxiety** – “Can I cope?” Initial uncertainty when change is announced.
2. **Happiness** – Relief or optimism that something new might bring benefits.
3. **Fear** – Worry about personal impact (“Will I lose my role?”).
4. **Threat** – Feeling insecure as the change becomes real.
5. **Guilt** – Regret about the past or resistance to new demands.
6. **Depression** – Low energy, disengagement, “This won't work.”
7. **Hostility** – Active resistance, pushing back against change.
8. **Denial** – Pretending change is not needed or relevant.
9. **Gradual Acceptance** – Beginning to adapt, experiment, and accept.
10. **Moving Forward** – Full engagement with the new reality.

John Fisher Model Transition curve



The Personal Transition Curve
John Fisher 2012

Change Curve (Kubler-Ross) 1969





Principles of Managing the Human Side of Change

- 1. Different people react differently
- 2. Everyone has fundamental needs
- 3. Change = loss (loss curve)
- 4. Expectations must be realistic
- 5. Fears must be addressed

Principle	Explanation	Example
1. Establish a Clear and Compelling Vision	People need to know <i>why</i> the change is happening and <i>what success looks like</i> .	An Indian IT company shifting to AI tools explains: “We aim to reduce project delivery time by 25% and remain competitive globally.”
2. Secure Strong Leadership and Sponsorship	Leaders must champion change visibly and consistently.	In a public sector bank merger , the MD holds town halls assuring employees that job security and promotions remain safe.
3. Engage Employees at All Levels	Involve employees in planning and execution to build ownership.	A manufacturing firm in Pune forms cross-functional employee task forces to redesign workflow for automation adoption.
4. Communicate Consistently and Transparently	Ongoing, two-way communication reduces rumors and resistance.	A telecom company moving to 5G sends weekly updates and Q&A sessions for engineers and customer service teams.
5. Address the Human Side of Change	Recognize and support emotional reactions (denial, anger, fear, acceptance).	During railway digital ticketing upgrades , frontline staff fear redundancy → leaders provide counseling and retraining.

Principle	Explanation	Example
6. Align Organizational Systems and Structures	Processes, policies, and incentives must support the change.	A retail chain moving to online sales changes incentive policies from in-store sales to digital customer engagement.
7. Build Capabilities and Provide Support	Training, coaching, and tools are essential for success.	A hospital in Mumbai adopting electronic health records trains doctors and nurses in digital literacy before rollout.
8. Deliver Quick Wins and Celebrate Success	Early wins build confidence and momentum.	A state electricity board moving to smart meters pilots in one city → celebrates 20% reduction in power theft within 3 months.
9. Sustain and Reinforce the Change	Reinforcement ensures the change sticks in culture.	A private bank shifts to paperless processes → continues rewarding departments with highest e-document usage.
10. Be Flexible and Adapt the Approach	Change plans must evolve with circumstances.	During COVID-19 remote work adoption , many Indian firms adjusted policies to allow hybrid models instead of strict “work from home only.”

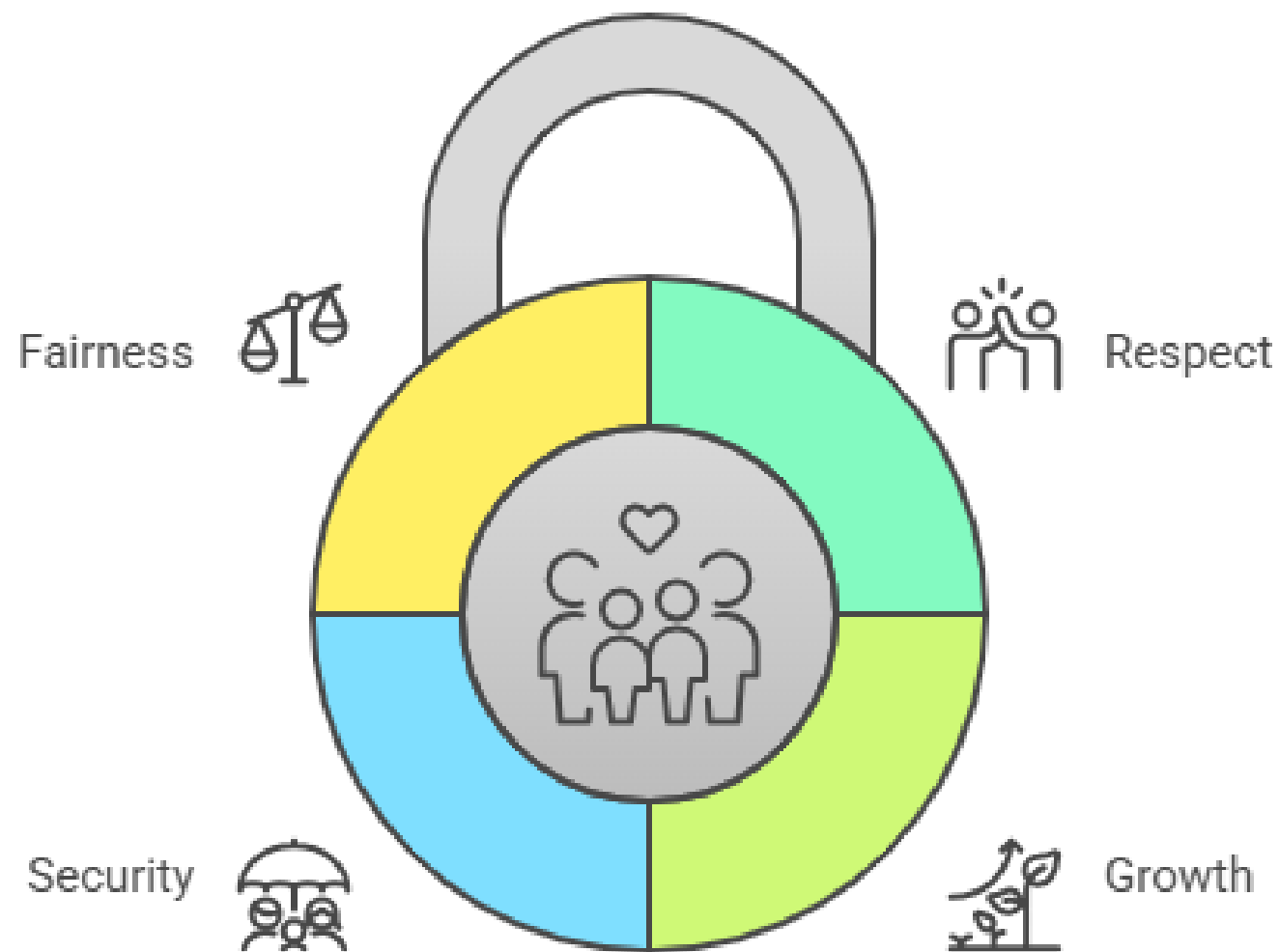




Consent to Change: 3 Facts

- 1. People reject '**bad aims**' (greed, false promises)
- 2. People can't just '**drop everything**'
- 3. Crisis is no excuse—**integrity** matters

Psychological Contract: Unwritten expectations



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Summary of Change Management

- Models: **Lewin, Kotter, ADKAR**, Bridges, Fisher, Greiner, Burke—
Litwin, Six-Box
- Principles: **10 & 5 rules of people-centered change**
- Change = technical + psychological

Personal examples

- **Merger**: training blue collar employees in adapting the new culture
- **Inclusive strategy**: Women are working now on shop floor. Sensitizing them and others about the shift.
- **Shift to EV plant**: different safety and requirements.
- **Charity hospital shifting to professional value based hosp.**



“

All change is hard at first,
messy in the middle and
gorgeous at the end.

ROBIN SHARMA

2

Nothing Changes
if
Nothing Changes

www.mash-eflc.com

3

AUTUMN

The season of change
and shedding past selves

JPIP

JPIP

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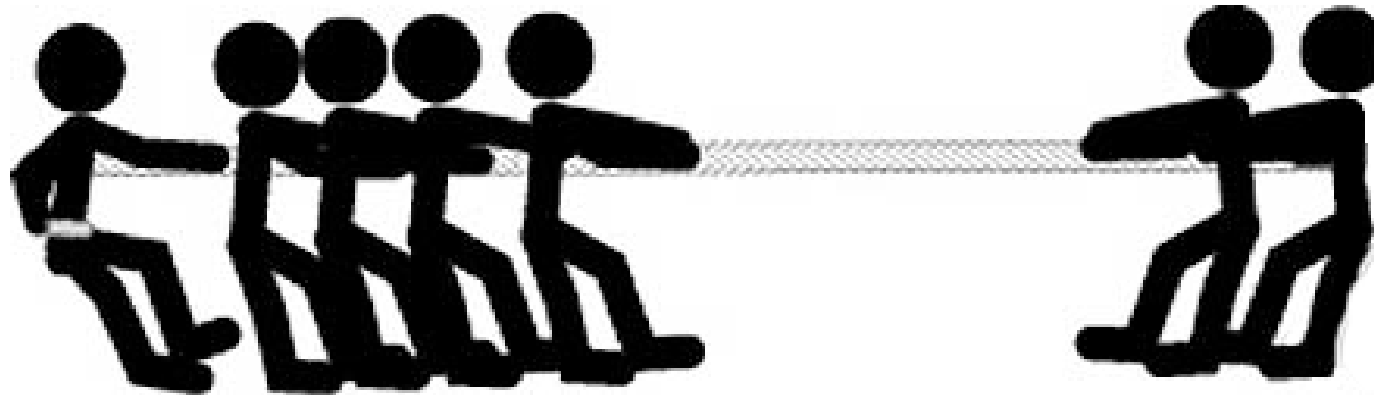


Resistance to Change

- Definition, Causes, Solutions

Employees

Management





Definition of Resistance

- Employee pushback: **rational or emotional**
- **Not always negative**

Fear of job loss, demotion, skill mismatch





- From German project to Japanese project
- Change factors for you



Psychological Factors

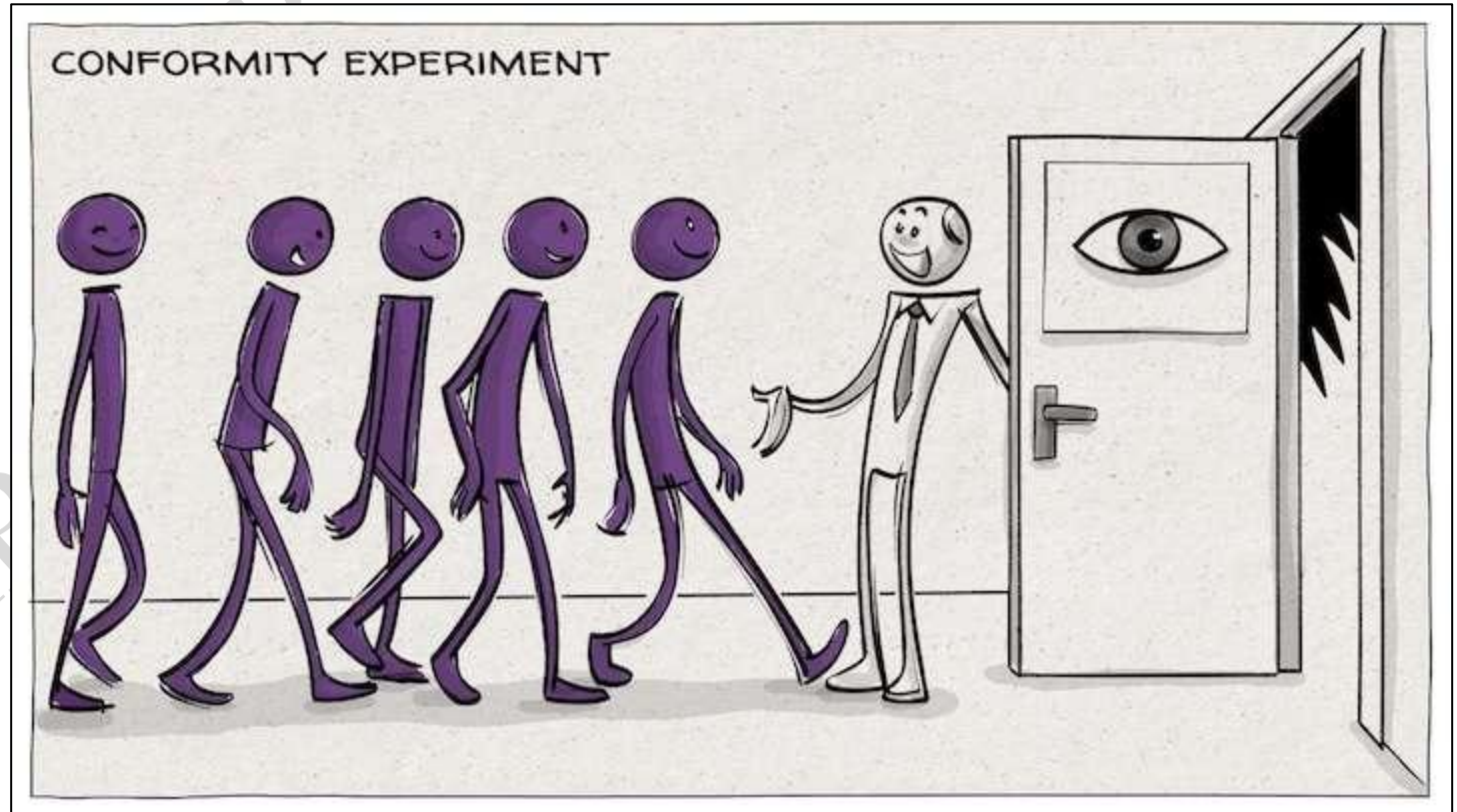
- Ego defensiveness
- Fear of unknown
- Low tolerance



EGO

Social & Group Factors

- Peer conformity
- Breaking of old networks



Cognitive Dissonance

- Conflicting beliefs vs. new organizational expectations

Diversity &
Inclusion Policy

"Hiring should focus only
on technical skills, not
diversity."

Organization actively
recruits diverse
candidates and promotes
inclusive practices.

Belief in traditional hiring
vs. expectation of
inclusion and equity.

1. Accept value of diverse perspectives.
2. Rationalize: "Diversity improves innovation."
3. Resist: Feel policy is unfair or tokenistic.



Symptoms of Resistance

- Absenteeism
- Low morale
- Sabotage



Constructive vs. Destructive Resistance

- **Constructive = feedback**
- **Destructive = sabotage**

Communication Strategy

- **Face-to-face > memos**



Participation Strategy

- **Involve employees in decisions**



Support Strategy

- **Training, counseling, coaching**





Leadership in Resistance

Trustworthy, communicative leaders reduce fear





Managerial Styles

Directive vs. collaborative vs. coaching



Case: Tata Motors Plant Change

Union involvement → gradual acceptance of automation



Resistance Summary

- **Causes:** economic, psychological, social
- **Solutions:** communication, participation, support



1 Textile Industry: Automation less employment. protests. from org perspective?
either ask for win win situation: learning new skills, quality control etc Room no 1 by Sakshi

2 digital world: proper map, visualize, step by step adjustment. then new machinery : supply chain move faster: try and test new machines: learning from these experts (testing group) room 2 presented by Ananya

You 5:52 PM

3 Major loss in the organization: more working hours. what we will get in return?
More breaks, may be. something extra / bonus room 3 Yash

4 Start up mid size : 6/8 moths working capital: immediate turnover.
overtime/downsizing etc. setting clear expectations imp. creative ideas. Room no 4 presented by Aditi

You 6:00 PM

5 Making change in government office. standing in line: time: document verification will be online mode. who will be benefited by this? a local cybercentre: to educate them. for faster processing etc. Room no 5 Presented Komal



Empowerment & Strategies

- Definition, Models, Applications

Definition of Empowerment

- Granting autonomy, responsibility, decision-making





Psychological Empowerment (Spreitzer)

- Meaning, competence, self-determination, impact



Dimension	Meaning in Empowerment	Application in Change Management
Meaning	The value of work goals judged in relation to one's own ideals and standards. Employees must see that the change aligns with their personal values.	Leaders should communicate <i>why</i> the change matters and link it to employees' sense of purpose (e.g., “This digital shift will help us serve customers faster and reduce stress in your daily tasks”).
Competence	Confidence in one's ability to perform work activities with skill (self-efficacy).	During change, training, mentoring, and skill-building ensure employees feel capable of handling new systems and processes (e.g., workshops on using new software).
Self-determination	A sense of autonomy in initiating and regulating one's own actions.	Change should allow employees some choice/control — e.g., letting teams decide how to implement new policies locally instead of top-down imposition.
Impact	The degree to which an individual feels they can influence strategic, administrative, or operational outcomes.	Employees must feel their voice matters — involve them in feedback loops, pilot programs, or suggestion forums during the change so they experience ownership of results.



Structural Empowerment (Kanter)

- Resources, support, information access

Job Characteristics Model

The Job Characteristics Model shows that employees embrace change more positively when their work is redesigned to enhance **skill variety, task identity, task significance, autonomy, and feedback.**



Self-Determination Theory

Self-Determination Theory (Deci & Ryan) says people are most motivated when their needs for **autonomy, competence, and relatedness** are fulfilled.



Empowerment & Innovation

- Encourages creativity, risk-taking



Strategies for Managers

- Delegation, recognition, training



Empowering Leadership

- Servant & transformational leadership



Employee Involvement Programs

- Quality circles, suggestion schemes



Case: Wipro Empowerment

- Employee-driven innovation council



Risks of Empowerment

- Overload, role ambiguity, conflict



Empowerment Reduces Resistance

- **Ownership** = less fear, smoother transition



Module Summary

• **Change → Resistance → Empowerment**



Suggested Readings

- Lewin, Kotter, Bridges, ADKAR Models
- Kubler Ross Model
- Change resistance, management and empowerment strategies